The Price of Delaware Corporate Law Reform*

Kenneth Khoo†
kenneth.khoo@nus.edu.sg

Roberto Tallarita‡
rtallarita@law.harvard.edu

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Abstract

We examine the equity-market impact of SB 21, a 2025 overhaul of the Delaware General Corporation Law that makes safe-harbor "cleansing" of conflicted controller transactions more readily available. Using a standard event-study design with matched U.S. peers, Delaware-incorporated firms experience significantly negative CARs at announcement. Cross-sectionally, underperformance is concentrated in (i) firms with larger blockholders and (ii) dual-class firms, consistent with an increased expectation of private-benefit extraction under the new regime. Our findings are robust across event windows and to alternative risk-adjustments (e.g., multi-factor benchmarks). On balance, the evidence implies that SB 21 reduced the shareholder value of Delaware firms overall, with the largest losses borne by companies where controller conflicts are most salient. Complementing the price evidence, we document a mechanism consistent with portfolio rebalancing: relative to passive funds, active mutual funds reduced their exposure to Delaware firms and, within Delaware holdings, to firms with more concentrated control following the announcement.

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†Assistant Professor, National University of Singapore, Faculty of Law.

‡Assistant Professor of Law, Harvard Law School.

1 Introduction

In 2025, within the span of a few weeks, Delaware legislators introduced and approved a controversial reform of the state's corporate law code (SB 21),[1] which included more lenient rules for conflicted transactions involving controlling shareholders (controller transactions) and other defendant-friendly amendments aimed at curbing minority shareholder litigation (Bainbridge (2025a)). It was the most significant rewriting of Delaware corporate law in more than half a century (Talley et al. (2025)).

The bill sparked an intense debate among scholars and practitioners. Critics contend that the new law facilitates excessive extraction of private benefits by controlling shareholders and other insiders and was designed to appease powerful founders and business interests at the expense of public investors (Bebchuk et al. (2025); Lipton (2025a); Lipton (2025b); Shapira (2025)). Supporters, in contrast, argue that the new rules provided a much-needed correction to curb excessive litigation and judicial overreach, ultimately benefiting all shareholders (Bainbridge (2025b); Bishop (2025); Rickey (2025)).

Both critics and supporters maintain that their preferred legal framework (pre- or post-SB 21) is better for investors. Although there are credible theoretical arguments both for and against implementing the reform, there is no clear basis to conclude that its overall effect on shareholder value should be positive or negative.[2] Whether investors are better or worse off under the new rules depends on the relative strength of these competing effects.

In this Article, we shed light on this debate by examining the equity market response to SB 21. If investors anticipate that the new rules will reduce shareholder value, as critics contend, then the stock returns of affected firms should react negatively to the reform. Conversely, if investors expect the new rules to increase shareholder value, as supporters maintain, then the stock returns of affected firms should react positively.

To measure the market response to the new legal framework, we conduct a series of event studies MacKinlay (1997). To assess the overall effect of SB 21 on firms subject to the new rules, we estimate abnormal returns for the 1,000 largest Delaware-incorporated companies by market capitalization and for a comparative sample of the 1,000 largest U.S. companies incorporated outside Delaware. In addition, to isolate the specific effects of the provisions governing controller transactions—on which many commentators have focused their attention—we hand-collect ownership information from public corporate filings for the Delaware firms in our sample, and examine how

[1] Act of March 25, 2025, 2025 Del. L. Ch. 6 (S.B. 21).
[2] See Section 4.

abnormal returns vary with each firm's control structure.

In particular, we study the relation between abnormal stock returns and two variables of corporate control. The first variable is the percentage of votes that may be exercised by the shareholder(s) with the greatest voting power. We term this variable the "voting block." Ostensibly, companies with a larger voting block are more likely to be affected by the rules on controller transactions. Indeed, these rules apply to transactions involving a "controlling shareholder," and voting power is a critical factor in determining control. Furthermore, if the critics of SB 21 are right and the new statute allows greater exploitation of public investors, we would expect public investors to suffer relatively more in companies with more powerful controllers, due to larger agency costs of control (Bebchuk and Hamdani (2017); Coffee Jr (2001); Gilson (2005)). For these reasons, the market reaction to SB 21 should be associated with the size of the voting block.

The second variable is the presence of a dual-class structure, which gives founders and other insiders disproportionate voting power relative to the shares they own. In a dual-class company, controllers and major shareholders have stronger incentives to exploit public investors, because by owning a smaller fraction of shares they are less exposed to the costs that their decisions impose on the company (Bebchuk and Kastiel (2018)). Therefore, if critics of SB 21 are correct, dual-class firms should exhibit a larger negative abnormal return relative to single-class firms, holding the voting block constant (Bebchuk et al. (2025)).

Our results lend support to the critics' view. Around the date of SB 21's announcement, Delaware companies experienced abnormal negative returns relative to other U.S. companies. Furthermore, within Delaware, firms dominated by large blockholders or featuring dual-class share structures suffered more pronounced losses than peers with smaller blockholders or single-class equity. These effects are statistically significant and economically large.

In our reference window—from the trading day before the event to the fifth trading day after the event—Delaware companies' abnormal returns are 1.4% lower than those of other U.S. companies, even after controlling for several company characteristics, such as size, industry, and other financial variables. To appreciate the magnitude of this effect, one should consider that 1.4% of the market value of the Delaware companies in our sample is approximately equal to $700 billion.

Similarly, among Delaware companies, companies with a voting block less than 15% (which we hypothesize are affected by some of the new rules but virtually unaffected by the new rules on controller transactions) experienced smaller abnormal negative returns relative to other companies. More generally, abnormal negative returns are associated with the size of the voting block: a 10-percentage-point increase in the voting block is associated with a 0.25% reduction

in stock returns. Furthermore, among Delaware companies, we find that dual-class companies experienced larger negative returns relative to single-class companies. On average, the abnormal returns of dual-class companies were 2.3% lower than those of single-class companies. This association remains, although with reduced statistical strength, when we control for the voting block, indicating that dual-class status alone is linked to more negative investor reactions to SB 21.

Through what process did the negative CARs emerge, and which investors were the marginal sellers? To shed light on this question, we analyze portfolio rebalancing using monthly mutual-fund holdings. Specifically, we examine whether active, alpha-seeking funds adjusted their exposures around the SB 21 announcement. We find that active funds reduced exposure to Delaware firms and, within Delaware holdings, to firms with more concentrated control, relative to passive funds.

We also test the market response to the Delaware Supreme Court's decision in the prior *Match* case, which had reaffirmed one of the most important rules overturned by SB 21—the application of the double-cleansing mechanism to all controller transactions (*In re Match Grp., Inc. Derivative Litig.* 2024). In contrast to SB 21, our results here are inconclusive. Stock returns remained largely unaffected by the *Match* decision, consistent with the court's view that its decision did not alter existing law and was therefore not a significant event for the market.

Overall, our findings indicate that the market responded negatively to SB 21, consistent with the view that its permissive reforms reduce shareholder value by weakening protections for minority investors against opportunistic conduct by corporate insiders. In particular, the evidence is consistent with the proposition that the protections curtailed by SB 21 were especially valuable to minority investors in companies with controlling shareholders and other large, influential blockholders. The economic impact is substantial: Delaware companies lost hundreds of billions of dollars in aggregate market value, at least in the short term. Thus, while SB 21 may have satisfied demands for deregulation among certain corporate constituencies, the empirical evidence suggests significant investor apprehension about its implications for shareholder value.

The rest of the Article is organized as follows. Section 2 surveys the relevant literature and articulates this Article's novel contribution. Section 3 examines the institutional details of the recent Delaware corporate law reform and its potential effects on Delaware companies and on firms with large blockholders. Section 4 develops several testable hypotheses on the effect of SB 21 on Delaware companies and different subsets of Delaware companies which are presumably affected by the reform in different degrees. Section 5 illustrates our data and methodology. Section 6 presents and discusses our results. Section 7 concludes.

2 Literature Review

Because the most significant changes under SB 21 concern the relaxation of approval requirements for conflicted transactions involving controlling shareholders, the regulatory shock is widely viewed as an expansion of controlling-shareholder rights. Against this backdrop, our empirical evaluation of SB 21 contributes to (i) the debate over controlling-shareholder control versus more diffuse forms of shareholder control,[3] and (ii) the contemporary legal literature on the reform's second-order effects, especially with respect to shareholder litigation. We address each in turn.

The literature comparing controlling-shareholder governance with more diffuse shareholder control is extensive; here we offer only a brief survey. A large body of work argues that controlling shareholders can mitigate the classic owner–manager agency problem, because a controller has strong incentives to monitor management (and often is part of management) and to maximize firm value. Their large equity stake ties their interests closely to firm performance and supports a longer-term orientation that dispersed shareholders may lack (Choi (2018); Gilson and Gordon (2003); Goshen and Hamdani (2015); La Porta et al. (2000); Pargendler (2019)).

A parallel literature emphasizes the risks that controlling shareholders will direct corporate decisions to extract private benefits at the expense of minority investors, for example through self-dealing, excessive compensation, or strategies that advance the controller's non-shareholder interests (Babenko et al. (2025); Bebchuk and Hamdani (2017); Coffee Jr (2001); Gilson (2005); Lipton (2025a)). Empirical evidence is consistent with these concerns. For example, the value of corporate control has been estimated at roughly 14% of equity value to the controller (Dyck and Zingales (2004)), and dual-class firms often trade at significant discounts to single-class peers (Gompers et al. (2010); Masulis et al. (2009)).

Our paper is closest to Bennett et al. (2025), which exploits Nevada Senate Bill 203 (NSB 203) as a quasi-natural experiment. NSB 203 explicitly recognizes that directors and officers are not required to prioritize shareholder interests as the dominant consideration in decision-making, a change the authors interpret as weakening shareholder primacy and lowering the valuations of Nevada-incorporated firms. By contrast, we study a different mechanism: SB 21 expands the power of controlling shareholders. This does not necessarily weaken the power of all shareholders; rather, it reallocates power among shareholders, potentially strengthening controllers at the

[3] By extension, this shift can augment board authority, insofar as controlling or substantial shareholders typically exert outsized influence over board composition and decision-making. Because this mechanism is ancillary to our focus, we do not engage the large literature on the relative merits of board power versus shareholder power. See, for example, Anabtawi (2005); Bainbridge (2002); Bebchuk (2004); Blair and Stout (1999); Rajan and Zingales (1998).

expense of minority investors.

A second strand of literature relevant to our analysis is the legal commentary on SB 21, which primarily evaluates the costs and benefits of litigation (Kraakman et al. (1993)). Proponents contend that the reforms could enhance shareholder value by increasing the predictability of bright-line rules (Bishop (2025)), lowering regulatory compliance costs by simplifying cleansing procedures for conflicted transactions (Bainbridge (2025b)), and reducing the costs associated with books-and-records inspections (Rickey (2025)); they further argue that these changes should decrease litigation costs in cases involving wrongful conduct (Hals (2025)).

By contrast, other commentators argue that SB 21 entails significant secondary costs that may be only indirectly related to controllers' incentives to extract private benefits. They emphasize that the rigidity of bright-line rules is an inferior mechanism for policing investor exploitation relative to the flexibility of equitable review (Lipton (2025a); Tallarita (2025)); that narrowing books-and-records rights is likely to weaken deterrence of controlling shareholders' behavior (Shapira (2025)); that Delaware risks reputational harm from the perception of interest-group capture (Lipton (2025b)); and that the rushed and confusing legislative process may signal incompetence in a regime of regulatory competition (Kahan and Rock (2025)).

These effects are theoretically plausible, though reasonable observers may disagree about their direction, magnitude, and empirical observability. Whether investors were ultimately helped or harmed by the reform depends on the relative strength of these competing forces and the resulting net effect on shareholder value. Before turning to the data and results, we provide a detailed overview of SB 21 in Section 3.

3 The Delaware Corporate Law Reform

3.1 Before SB 21: The Double-Cleansing Rule

Delaware corporate law has always taken conflicts of interest seriously. While it gives great deference to unconflicted board decisions under the so-called "business judgment rule (*Gagliardi v. Trifoods Int'l* 1996), it subjects conflicted decisions to a much stricter standard of review—entire fairness—which often results in a settlement or a win for the plaintiff (Chari and Ross (2025); Greco (2024); *Maffei v. Palkon* 2025; Spamann (2016)).

For a corporation, the traditional way to avoid entire fairness review for a conflicted transaction is to "cleanse" the relevant conflict of interest. If the conflict is cleansed, the corporate process

leading to the approval of the transaction becomes reliable again, and the court will apply the lenient business judgment rule.

The most frequent types of conflicts are those in which one or more directors or officers of the corporation have a financial interest in the transaction. To cleanse these conflicts, the decision must be approved by disinterested and independent directors (often forming, according to best practices, a so-called special committee) or by disinterested shareholders. In this way, the decision-making process is insulated from the disabling interest of the conflicted directors or officers. In other words, the conflict is cured based on the assumption that the disinterested directors or shareholders have no incentives to act disloyally vis-à-vis the corporation (*Cooke v. Oolie* 2000). However, when the conflicted party is a controlling shareholder (controller transactions), traditional cleansing mechanisms have traditionally been considered "not trustworthy enough to eliminate the need for an entire fairness review" (*In re Pure Res., Inc., S'holders Litig.* 2002).

Initially, controller transactions could not be validly cleansed and, therefore, were always subject to entire fairness review. This very strict regime was first, and most clearly, applied to to parent-subsidiary cash-out mergers, also known as "squeeze-outs" or "freeze-outs," in which minority shareholders are at risk of being cashed-out by the controlling shareholder at an unfairly low price,[4] and subsequently to all kinds of controller transactions (*In re Ezcorp Inc. Consulting Agreement Derivative Litig.* 2016), such as stock purchases (*Kahn v. Tremont Corp.* 1996), services agreements (*T. Rowe Price Recovery Fund, L.P. v. Rubin* 2000), reverse stock splits (*Reis v. Hazelett Strip-Casting Corp* 2011) or conversion of debt into equity (*S. Muoio & Co. LLC v. Hallmark Ent. Invs. Co.* 2011).

More recently, Delaware courts began to recognize that robust corporate procedures could be more effective than judicial review in policing controller transactions. Eventually, in the *MFW* case, the Delaware Supreme Court allowed the cleansing of controller transactions, but only if the transaction had been approved by *both* a special committee of independent directors *and* a fully informed and uncoerced majority of minority shareholders.

As a consequence, controller transactions became the focus of intense litigation. Controller transactions were attacked because the "double-cleansing" procedure had not been followed or had not been followed in a proper way. Due to flaws in the double cleaning procedure, some high-profile cases ended up with unexpected wins for the plaintiffs. Perhaps the most visible of such cases was the derivative lawsuit against Tesla and its CEO and alleged controlling shareholder Elon Musk,

[4]These transactions have received considerable attention by corporate law scholars over the years. See, for instance, Carney (1980); Kahan (1993); Coates IV (1998); Gilson and Gordon (2003); Subramanian (2007); Restrepo (2013); Restrepo and Subramanian (2015); Cox and Thomas (2017).

which resulted in the rescission of Musk's historically large compensation award on the ground that, according to the court, the transaction did not comply with the procedural requirements of *MFW* (*Tornetta v. Musk* 2024). The decision triggered a harsh reaction by Musk and Tesla, and prompted many observers to condemn the excesses of shareholder litigation against controller transactions.

3.2 The Announcement and Enactment of SB 21

Even before the public backlash ignited by Musk and Tesla, many experts had criticized the Delaware's judge-made rules on controller transactions and recommended defendant-friendly reforms (Hamermesh et al. (2021); Pollman and Will (2025); Goshen et al. (2024); Fisch and Davidoff Solomon (2024)). However, in the 2024 *Match* case, the Delaware Supreme Court reaffirmed the double-cleansing rule for all kinds of controller transactions (*In re Match Grp., Inc. Derivative Litig.* 2024).[5]

Meanwhile, criticism of Delaware courts by some publicly visible founders and corporate leaders was intensifying. Tesla CEO Elon Musk—after the rescission of his multi-billion compensation plan by the Court of Chancery—won a shareholder vote to change Tesla's state of incorporation to Texas (Saldana (2024)), and invited his social media followers to "never incorporate… in Delaware" (Musk (2024)). Bill Ackman, owner of the investment management firm Pershing Square, announced the reincorporation of his firm out of Delaware to Nevada Reuters (2025). Meta Platform was rumored to be contemplating a similar move to Texas Glazer et al. (2025). Many commentators began talking about the possibility that many other companies—especially controlled companies—could leave Delaware out of dissatisfaction for the stringent rules on controller transactions Bainbridge (2024b).

Amid growing pressure from the corporate defense bar and its largest clients, the Delaware legislature decided to step in and change the rules. In February 2025, a comprehensive reform bill (SB 21) was announced,[6] and by the end of March a slightly revised version of the bill had been signed into law.[7]

[5] *Match* prompted significant scholarly work on the optimal cleansing regime for controller conflicts (Bainbridge (2024a); Barzuza (2024); Greco (2024); Hurt (2025); Restrepo and Subramanian (2024)).

[6] Del. State Senate, 153rd Gen. Ass., Senate Bill No. 21.

[7] Del. 153rd Gen. Ass, Senate Substitute 1 for Senate Bill 21.

3.3 What SB 21 Is About

The scope of the reform introduced by SB 21 is quite broad. The bill amended Sections 144 and 220 of the Delaware General Corporation Law (DGCL) and thus rewrote the rules governing conflicted transactions, as well as shareholders' rights to inspect corporate books and records.

Table 1 summarizes the major changes to Delaware law introduced by SB 21, which, taken together, further move Delaware law in a defendant-friendly (and thus controller-friendly) direction. We report both the proposed amendments in their initial version, announced on February 17, 2025, and those included in the final version of the bill, which was introduced on March 12 and signed into law on March 25, 2025. As the Table shows, the later revisions did not significantly alter the content of the bill, except by reinstating some degree of judicial discretion with respect to books-and-records requests.

[Insert Table 1 here]

The new statute overturned *Match* (and possibly many other precedents) (Talley (2025)) and established a single-cleansing safe harbor for all controller transactions except for squeeze-outs. Moreover, it exempted shareholders holding less than one third of the voting power from the rules on controller transactions,raised the bar for proving that directors are not independent, and limited the use of book and records inspections by plaintiff lawyers. Overall, the reform was the most significant rewriting of Delaware corporate law in more than half a century, changing the system in a more controller-friendly direction. In the following subsections, we discuss the main changes introduced by SB 21.

3.3.1 Single-Cleansing Safe Harbor

One of the most significant changes is the adoption of a single-cleansing safe harbor for controller conflicts. Under the old legal framework (recently reaffirmed by the Delaware Supreme Court's decision in *Match*), boards and controlling shareholders could avoid judicial review of controller transactions only by obtaining approval by *both* a special committee of independent directors *and* a majority of minority shareholders. Under the new rules, the same effect is attained through only *one* of these two cleansing mechanisms.

Simply put, special committees can now approve conflicted controller transactions with minimal litigation risk without the need of approval by a majority of minority shareholders. The only exception is for squeeze-outs, which remain subject to double cleansing (although in a slightly

laxer form than before).[8] This change—which overturns *Match*—affects all Delaware companies with a controlling shareholder, whether a majority shareholder (with voting power of $\geq$ 50% of the company's shares) or a minority shareholder with *de facto* dominant influence on the corporation.

3.3.2 Statutory Definition of Controlling Shareholder

SB 21 also adopts an explicit definition of "controlling shareholder," which excludes shareholders who have less than one third (33.3%) of the votes. Under the old legal framework, a plaintiff could establish that a minority shareholder was a controlling shareholder by demonstrating that it "exercise[d] control over the business affairs of the corporation" (*Tornetta v. Musk* 2024). Therefore, a shareholder owning 20% of the voting power could be considered a controlling shareholder, whether in general or with respect to the specific transaction. In the *Tornetta* case, for example, Elon Musk was found to be a controlling shareholder for the purposes of the approval of his compensation plan despite owning only 22% of Tesla's stock and voting rights.

The new rule maintains the notion of *de facto* controller, but it sets a bright-line threshold of 33.3% below which a shareholder may *not* be considered a controller.The purpose of this threshold was, quite evidently, to exempt companies like Tesla—with a voting block smaller than 33.3%—from controller transaction rules Morris, Nichols, Arsht & Tunnell LLP (2025). According to this reading, under the new Section 144, majority shareholders and *de facto* controllers with more than 33.3% of voting power get more lenient rules, whereas influential shareholders with less than 33.3% of voting power—which could have been deemed controlling shareholders under the old legal framework—get a *full exemption* from controller conflict rules. This interpretation of the amendment seems to be widely accepted by many scholars and practitioners (e.g., Bainbridge (2025a)).[9]

3.3.3 Enhanced Presumption of Director Independence

The new Section 144 establishes an "enhanced presumption" of independence for directors, if the board believes that they satisfy the applicable stock exchange standards of independence. To rebut such a presumption—which virtually applies to all director defendants, since it is based on the board's own assessment—the plaintiff must present "substantial and particularized facts." In

[8] Critics of the new rule argue that there is no sound theoretical reasons why squeeze-outs should be treated differently from other important controller transactions, such as re-incorporations or charter amendments, and therefore the new regime introduced by SB 21 is harmful for investors. *See* Bebchuk and Kastiel (2025).

[9] An alternative interpretation suggests that the new bright-line definition of "controlling shareholder" is only relevant for the application of the safe harbor but does not overrule the common law standard. In other words, a shareholder with less than 33.3% of votes cannot benefit from Section 144's safe harbor but may still be found to be a controlling shareholder under the traditional common law standard. On this view, shareholders with less than 33% of voting power would not be affected by SB 21 (Kahan and Rock (2025)).

other words, the legislator is instructing the courts to raise the bar for proving that a director is not independent.

3.3.4 Other Changes to Section 144

The new statute contains additional tweaks that further move the law of controlling shareholders in a defendant-friendly direction. For example, it contains an automatic exculpation provision that eliminates controlling shareholders' liability for gross negligence (breach of duty of care),[10] it eliminates the so-called *ab initio* requirement under *MFW* (thus allowing the double-cleansing condition to be introduced at a later stage in the approval process), as well as the requirement that special committees must be able to choose their own lawyers and advisers, alongside other similar deregulatory moves.

3.3.5 The New Section 220

The other major changes introduced by SB 21 concern Section 220 of the DGCL. The bill significantly narrows the scope of the shareholders' right to inspect the books and records of the corporation provided under that statute. Under the old statute, the concept of "books and records" was left to judicial interpretation; the new statute, in contrast, provides a list of board-level official documents that shareholders may obtain and allows the Chancery to order the inspection of other documents, such as email or contracts, only if the plaintiff clears certain hurdles, including demonstrating "a compelling need" for the inspection of such documents Bainbridge (2025a).

Since the 1990s, the Delaware Supreme Court had considered Section 220 inspection rights as an "information-gathering tool" for derivative litigation (*Rales v. Blasband* 1993). Derivative plaintiffs are not entitled to discovery in the initial (albeit crucial) stage of the lawsuit; thus, a Section 220 inspection operates as an imperfect but important substitute for discovery. Clearly, the new statute aims at limiting the use of this tool, although the precise contours of the change will depend on how the courts will read the new provisions Bainbridge (2025a).

4 Developing our Hypotheses

To test the effect of SB 21 on shareholder value, we formulate some plausible hypotheses based on how the above legal changes should be expected to affect Delaware companies. Our null

[10] In a recent decision, and in a scholarly paper published shortly after the decision, Vice Chancellor Laster had reviewed the relevant case law and concluded that controlling shareholders owe fiduciary duties of both care and loyalty (*In re Sears Hometown & Outlet Stores, Inc.* 2024; Laster (2023)). However, the normative significance of the controller shareholder's duty of care has always been disputed (Dammann (2015)).

hypothesis is that SB 21 had no effect on stock returns; accordingly, all statistical inferences are based on two-tailed tests of the null hypothesis. For simplicity of exposition, however, we adopt the point of view of the critics and formulate our hypotheses as though we expected the various rules contained in SB 21 to reduce (rather than increase) the value of the companies affected by them.

4.1 Effect of SB 21 on All Delaware Companies

Our first hypothesis concerns the overall effect of SB 21. Since the new rules apply to Delaware companies, we should expect Delaware companies (but not companies incorporated elsewhere) to be affected by SB 21.

Hypothesis 1: Around the date of the announcement of SB 21, companies incorporated in Delaware should experience negative abnormal returns relative to U.S. companies incorporated in other states.

4.2 Effect of SB 21 on Companies with Influential Shareholders

The next two hypotheses concern the specific effect of the new rules on companies with influential shareholders. Although it is difficult to parse the different and potentially conflicting effects of the various changes introduced by SB 21, the new rules on controller transactions should affect only those companies that were subject to the old, stricter rules and are now subject to the new, more permissive ones. In contrast, companies that were not, and continue not to be, subject to the rules on controller transactions should be unaffected by these changes. To identify the companies that are likely to be affected by these changes, we use two strategies, both based on the concept of "voting block," which we define as the percentage of votes that may be exercised by the shareholder (or the group of shareholders) with the greatest voting power in the company.

The first strategy is to identify subsets of Delaware companies that are likely to be treated differently by the new rules. Under the old rules, the definition of controlling shareholder was a flexible standard, which did not require a minimum fraction of shares or voting power (*In re PNB Hldg. Co. S'holders Litig.* 2006). Therefore, in theory, any shareholder, even a very small one, could be considered a controlling shareholder and therefore the relevant transaction could be subject to the controller transaction rules. However, the cases in which plaintiffs successfully demonstrated that a minority shareholder was a controller are infrequent, and when the voting power of the alleged controller was relatively small, virtually nonexistent.

While we have found one case in which a group of shareholders were deemed to be controlling

shareholders even if they owned "just under 15%" of the company (*FrontFour Cap. Grp. LLC v. Taube* 2019), we have not found any other cases in which shareholders with less than 15% of voting power were deemed controlling shareholders. Therefore, we choose 15% as the voting power threshold to differentiate between companies affected and companies not affected by the new controller transaction rules. Our assumption is that companies with a voting block of less than 15% were extremely unlikely to be considered controlled companies before SB 21 and therefore are unaffected by any rewriting of the rules on controlled transactions. In contrast, companies with larger voting blocks could, with some probability, which becomes a virtual certainty above 50%, have been subject to the old rules and are therefore affected by their revision.

Hypothesis 2: Around the date of the announcement of SB 21, Delaware companies with a voting block larger than 15% should experience abnormal negative returns relative to the other Delaware companies.

To further explore the effect of the new rules on controlled companies, we also differentiate between the intermediate group of companies with voting block between 15% and 33.3%, and the group of companies with voting block greater than 33.3%. The first group (15%-33.3%) consists of companies which—according to the mainstream interpretation—became exempted from controller conflict rules after SB 21. However, these companies were much less likely than companies with larger voting blocks to be subject to controller conflicts rules in the first place, precisely because of the relatively small voting power of their largest shareholders. Furthermore, there is some uncertainty whether the mainstream interpretation of the statute will be embraced or rejected by the courts (Kahan and Rock (2025)). Therefore, whether this subset of companies is more or less affected by SB 21 is unclear.

The second strategy is to use the voting block as a continuous variable. The reason why SB 21's critics expect controlled companies to be harmed by the reform is that controlling shareholders are in a position to use their influence to expropriate value from public investors. This is a well-known concept in corporate governance (Bebchuk and Hamdani (2017); Coffee Jr (2001); Gilson (2005)). Therefore, if the critics of SB 21 are right and the new statute allows greater exploitation by controlling shareholders, we would should expect companies with a larger voting block to suffer disproportionately more than companies with a smaller voting block.

Hypothesis 3: Around the date of the announcement of SB 21, the abnormal negative return of Delaware companies should be statistically associated with the voting block, so that a larger voting block should be associated with a greater negative return.

4.3 Effect of SB 21 on Dual-Class Companies

Another subset of companies that should be disproportionately affected by SB 21 are dual-class companies. In dual-class companies, some shareholders (high-vote shareholders) have a disproportionately large voting power relative to the fraction of equity they own. Therefore, they can potentially exercise a majority of votes with only a minority of shares.

Dual-class companies potentially present higher agency costs of control, because the incentives of high-vote shareholders are less aligned with the interests of public shareholders (Bebchuk and Kastiel (2018)).[11] In a single-class company, a shareholder with 60% voting power bears 60% of the cost of a bad corporate decision because it owns 60% of the shares. In contrast, in a dual-class company, a shareholder with 60% voting power but only, for example, 15% of the shares, bears a much smaller fraction of the cost and therefore is much more likely to choose a self-interested course of action rather than the value-maximizing one.[12] Therefore, dual-class companies could potentially be affected by SB 21 through two different channels: through the large voting power of founders and other high-vote shareholders (that is, the voting block) and through the misalignment between equity and voting power created by the dual-class mechanism. Hence, if both SB 21's critics and critics of dual-class structures are right, dual-class companies should suffer disproportionately more than single-class companies with the same voting block.

Hypothesis 4: Around the date of the announcement of SB 21, Delaware companies with a dual-class structure should experience abnormal negative returns relative to other Delaware companies, even after controlling for the size of the voting block.

4.4 Mechanisms: Effect of SB 21 on Active Funds

Identifying a plausible mechanism—a channel that explains why Delaware firms, and especially those with larger blockholders, experienced lower abnormal returns after the SB 21 announcement—is challenging because we cannot observe granular shareholder trading around the event window. In particular, we do not observe daily investor–level order flows that would permit us to directly link the price reaction to specific classes of sellers or buyers on the announcement days.[13]

[11] There is a vast literature on the costs and benefits of dual-class structures for shareholders. For a recent review, see Tallarita (2024).

[12] Note that our "voting power" metric captures effective voting rights rather than economic ownership: thus, a dual-class firm whose controller holds 15% of the shares but commands 60% of the votes is recorded as having 60% voting power.

[13] In particular, unlike Li et al. (2022), the relevant vendor (ANcerno Ltd.) which provides such data no longer provides data beyond Sep 2011.

Nevertheless, we conduct a preliminary, portfolio–rebalancing investigation using monthly mutual–fund holdings. The aim is to identify which funds are the top net sellers and buyers of (i) Delaware–incorporated firms and (ii) firms where controlling shareholders are major blockholders ("control–oriented firms", as determined in Section 4.2). This exercise is motivated by the premise that active mutual funds—funds that seek supra–normal, benchmark–adjusted returns (alpha)—should be more sensitive to governance shocks that they assess as reducing long–run firm value (Dimson et al. (2015)). In contrast, many scholars have argued that index funds face classic free-rider and incentive constraints which dampen firm-specific monitoring and engagement, leading to underinvestment in stewardship (Bebchuk and Hirst (2019); Kahan and Rock (2020)). While this approach is necessarily limited by the lower frequency of holdings data (and by the possibility that funds buy back into Delaware or control–oriented firms after post–announcement price declines), we hypothesize that some active funds adopt a longer–horizon view and, on net, reduce their exposure to these firms in the months following SB 21.

Hypothesis 5: Around the SB 21 announcement, active mutual funds reduce their portfolio exposure to both (i) Delaware firms and (ii) control–oriented firms.

4.5 Did the Market Favor the Double-Cleansing Mechanism for All Controller Transactions?

Hypotheses 2-4 seek to test the overall effect of the new rules on companies with influential shareholders. Is it possible to test the specific market response to the new single-cleansing safe harbor?

As discussed above, this specific rule is an explicit rebuke of the Delaware Supreme Court's decision in *Match*, which had reaffirmed the application of the double-cleansing rule to all kinds of controller transactions. Thus, the new rule and *Match* stand in direct opposition with each other. A positive market response to *Match* would lend some support to the critics' view that the adoption of a single-cleansing safe harbor was bad for investors, and a negative market response to *Match* would lend some support to the opposite view.

However, there are strong reasons to believe that stock returns should be unaffected by *Match*, regardless of whether the new rule is good or bad for investors. As the court made clear, *Match* reaffirmed an existing rule and did not create a new one. In other words, while SB 21 introduced a new legal framework, *Match* left things exactly as they were before. Event studies can be useful only when there is a "shock" or a surprise for the market. If *Match* did not change the law, there

was no surprise.

Even if, before *Match*, there was some uncertainty around the precise scope of the double-cleansing rule, and the decision of the court to hear arguments on this question opened the possibility that the rule could be altered (Leonard (2023)), it is possible that the market did not expect any policy changes, at least not with significant likelihood.[14] In this environment of uncertain expectations, we should not expect any noticeable market response to the conservative outcome, which did not introduce significant changes, absent a systemic shift in expectations to the contrary.

Therefore, even the harshest critics of SB 21 should be agnostic about the market response to *Match*. To explore this point and examine whether *Match* had any market impact whatsoever, we adapt and test the same hypotheses presented above (Hypotheses 1-4) around the date of the *Match* decision.

5 Methodology and Data

To test the hypotheses developed in Section 4, we conduct a series of event studies—alongside complementary analyses—comparing the stock returns of affected firms around the event date with their expected returns estimated from standard asset-pricing models (Berkowitz et al. (2015); Borisov et al. (2016); Cain et al. (2017); Cohen and Wang (2013); Dammann (2022); Eldar (2018); Frattaroli (2020); Greenwood et al. (2023); Krüger (2015); Matsusaka et al. (2021); Raghunandan and Rajgopal (2024)).

5.1 Data and Summary Statistics

We retrieve daily total returns for all Delaware and non-Delaware firms from the CRSP/Compustat Merged database, using CRSP's dividend- and split-adjusted return series (DlyRet). Market returns are proxied by CRSP's value-weighted total-return index, a capitalization-weighted portfolio of domestic stocks listed on the NYSE and NASDAQ exchanges (vwretd). Firm-level covariates—including size, industry classification, state of incorporation, and other accounting measures—come from Compustat. Data on voting power and dual-class status are hand-collected from proxy statements for the 1,000 largest Delaware-incorporated firms by market capitalization, with assistance from student researchers at Harvard Law School.

[14] Alternatively, different market participants may have anticipated divergent case outcomes, but these differences did not translate into a systematic shift in aggregate market expectations.

Hypothesis 1 concerns the overall effect of SB 21 on Delaware companies. To this end, we run our analysis on the 1,000 largest publicly traded companies incorporated in Delaware as of the end of 2024 and, for comparison, on a sample of the 1,000 largest publicly traded U.S. companies incorporated in other states. Because a small number of observations could not be matched to the CRSP–Compustat files, the effective sample size falls slightly in some analyses; Table 2 reports summary statistics for the smallest resulting subsample.

[Insert Table 2 here]

Hypotheses 2 to 4 aim to tease out the different effects of the relevant events on companies with different control structures, based on the size of the voting block and on whether the company has adopted a dual-class voting structure. As mentioned above, to identify these companies, we manually inspect the ownership data reported in the most recent proxy statements filed by the Delaware companies in our sample and compute the percentage of votes that may be exercised by the shareholder with the greatest voting power. To capture the effect of voting agreements and family groups, we aggregate the votes of all reported shareholders who are parties to a voting agreement or are family members (based on a common last name or other information reported in the proxy statement). To capture the effect of dual-class structures, we collect the total voting power reported in the proxy statement or, if not reported, we manually compute the voting power based on voting rights information reported in the proxy statement. Table 3 and Table 4 report summary statistics.

[Insert Table 3 here]

[Insert Table 4 here]

Finally, Hypothesis 5 evaluates whether the relevant events affected mutual funds' portfolio exposure to Delaware firms and to control-oriented firms. We retrieve fund–stock holdings from the CRSP Mutual Fund Database for the period September 2024 through May 2025, which is the latest available window at the time of writing.[15] We merge the holdings panel (observed at the fund–firm–month level) to fund-level characteristics from CRSP. We classify a fund as passive if its index-style code indicates an index fund (B, D, or E) or if CRSP labels the vehicle as an ETF; funds not so labeled are treated as active.[16] We then merge these fund–month observations with firm-level indicators constructed from CRSP/Compustat and our hand-collected dataset: the Delaware incorporation flag for all holdings, and the voting block measure only for the subsam-

[15] We ultimately drop observations from June 2025 because a large share of the merged observations (about 70%) was incomplete or missing.

[16] Our index-fund classification is conservative relative to prior approaches (e.g., Brav et al. (2024)), so any estimated effects are likely to be conservative.

ple of Delaware-incorporated holdings. Finally, we collapse the data to the fund–month level for subsequent analysis.

5.2 Event Study Methodology

5.2.1 Event Dates

Our main "event" of interest is the corporate law reform enacted through SB 21. However, to study the market reaction to a legal reform, the reform must come as a surprise, or a "shock" to the market, and new bills do not suddenly become law. In our case, SB 21 was publicly announced on February 17, 2025, a slightly revised version was introduced to the Senate Judiciary Committee on March 12, and only on March 25 was the reform formally approved (Delaware News (2025)). Thus, the market had several weeks to process and digest the "shock" of the reform.

From the very beginning, however, it was clear that the bill had strong bipartisan support and its enactment was considered very likely (Neely and IV Sherman (2025); Owens and Baker (2024)), as it routinely happens for bills reforming the Delaware General Corporation Law (Hamdani and Kastiel (2025)). Furthermore, as discussed in Section 3.3, the substantive differences between the initial and final versions of SB 21 are quite limited. Therefore, in line with the substantial literature conducting event studies on regulatory shocks, we believe that most of the new information for the market was already contained in the initial announcement (Frankenreiter and Talley (2024)). That is the moment that we treat as an "event" for our analysis. In Section 8.3, we document that alternative event dates, such as the Senate introduction of the amended bill and the bill's final approval, elicit relatively muted market reactions, consistent with most price-relevant information having been incorporated into prices on the initial announcement date.

5.2.2 Definition of Analysis Windows

Our estimation window—used to model the stock's normal co-movement with systematic risk factors—spans trading days −250 to −20 relative to the event. Our baseline event window—over which any abnormal price response is measured—covers trading days −1 to +5. Following Matsusaka et al. (2021), we also report shorter and longer event windows that begin one day before the event and extend to +1, +3, +7, and +10 trading days after the event, respectively.[17] We start one day before the announcement to capture possible information leakage and extend a few days after to observe post-announcement adjustments. To ensure that results are not contaminated by pre-trends, we implement a placebo exercise that re-estimates the cross-sectional association on

[17] For recent event studies using a five-day window, see Krüger (2015); Berkowitz et al. (2015); Borisov et al. (2016).

pseudo event dates drawn from the pre-event window; see Section 8.1 for details of the setup. In the following table, we index observations in the estimation window by $s \in \mathcal{S}$ and those in the event window by $t \in \mathcal{T}$.

Window	**Index Symbol**	**Trading-Day Range**	**Number of Obs.**
Estimation window	$s \in \mathcal{S}$	$\mathcal{S} = \{-250, \dots, -20\}$	$T = 231$
Event window	$t \in \mathcal{T}$	$\mathcal{T} = \{-1, \dots, 10\}$	$L = 12$

Trading day 0 marks the disclosure date—specifically, the public announcement of Senate Bill 21. To keep model calibration and impact assessment strictly separate, we index observations in the estimation window by $s \in \mathcal{S}$ and observations in the event window by $t \in \mathcal{T}$, using the former solely to estimate expected (normal) returns and the latter solely to measure any abnormal price response. In Section 8.3, we also examine several potentially correlated follow-on events and assess their impact on the abnormal returns of the firms under study.

The first trading day after the announcement was February 18, 2025, which we therefore take as our main event date.[18] As a secondary test, we also examine the effects of the *Match* decision—which reaffirmed a rule that SB 21 explicitly overturned—using the decision date (April 4, 2024) as the event date.

5.2.3 Model for Event Study

5.2.3.1 Estimation Window Specification

Following Brown and Warner (1985) and MacKinlay (1997), we define R_{is} as the raw daily return on security i on day $s \in \mathcal{S}$, R_{it} as the raw daily return on security i on day $t \in \mathcal{T}$, R_{ms} as the raw daily return on the value-weighted market index on day $s \in \mathcal{S}$, and R_{mt} as the raw daily return on the value-weighted market index on day $t \in \mathcal{T}$. For $s \in \mathcal{S}$, we estimate

$$R_{is} \;=\; \alpha_i \;+\; \beta_i R_{ms} \;+\; \varepsilon_{is}, \tag{1}$$

where α_i is firm i's average excess return when the market return is zero (intercept), β_i measures the sensitivity of firm i's return to market returns (market beta), $\beta_i R_{ms}$ is the portion of R_{is} explained by market-wide movements on day s, and ε_{is} is a mean-zero idiosyncratic shock for firm i on day s. Ordinary least squares (OLS) applied to all estimation-window observations yields $\hat{\alpha}_i$ and $\hat{\beta}_i$. As a robustness check, in Section 8.2 we re-estimate abnormal returns using the

[18] The bill was announced on February 17, 2025, which was a U.S. federal holiday (Presidents' Day). The first trading day after the announcement was February 18, 2025, which is our main event date.

Fama–French five-factor benchmark (Fama and French (2015)).

5.2.3.2 Event Window Specification

For $t \in \mathcal{T}$, expected returns are projected as

$$E[R_{it}] \;=\; \hat{\alpha}_i \;+\; \hat{\beta}_i \, R_{mt}. \tag{2}$$

That is, on each event-window day t, the realized market return R_{mt} is multiplied by the fitted sensitivity $\hat{\beta}_i$ and added to the fitted intercept $\hat{\alpha}_i$ (both estimated in Specification (1)) to obtain the stock's normal-period expected return absent any event influence.

5.2.3.3 Abnormal and Cumulative Abnormal Returns

To compute cumulative abnormal returns (CARs), we first define the daily abnormal return (AR) for each firm i on each trading day t in the event window:

$$AR_{it} \;=\; R_{it} \;-\; E[R_{it}], \qquad t \in \mathcal{T}. \tag{3}$$

where $E[R_{it}]$ is derived from Specification (2). Let $t_0, t_1 \in \mathcal{T}$ with $t_0 \leq t_1$ denote the start and end of a chosen subwindow within the event window (for instance, $t_0 = -1$ and $t_1 = 5$). The firm-level cumulative abnormal return for firm i is:

$$CAR_i(t_0, t_1) \;=\; \sum_{t=t_0}^{t_1} AR_{it}.$$

For a portfolio comprising n firms (e.g., $n = 1000$ Delaware-incorporated firms), the portfolio CAR is the simple cross-sectional average of firm-level CARs:

$$CAR_{\text{portfolio}}(t_0, t_1) \;=\; \frac{1}{n} \sum_{i=1}^{n} CAR_i(t_0, t_1). \tag{4}$$

5.2.4 CAR Regressions on Independent Variables of Interest

To relate cumulative abnormal returns to firm characteristics and treatment status (where certain pre-specified independent variables define the set of "treated" firms), we estimate cross-sectional regressions of portfolio-level CARs on explanatory variables. For a given event window $[t_0, t_1]$, let $CAR_{\text{portfolio}}$ denote the portfolio's cumulative abnormal return as defined in Specification 4.

Consistent with Section 4, our baseline specification, estimated on the combined sample of

Delaware and non-Delaware firms (portfolio_all) is:

$$CAR_{\text{portfolio_all},\,ij}(t_0, t_1) \;=\; \alpha \;+\; \beta\,\text{Delaware}_p \;+\; \boldsymbol{X}_{ij}\gamma \;+\; \eta_j \;+\; \varepsilon_{ij}, \tag{5}$$

where Delaware_i equals one for Delaware firms (and zero otherwise), $\boldsymbol{X}_{ij}$ is a matrix of firm-level controls (constructed from the firm-level variables: log assets, log book-to-market, return on assets, leverage, tangibility, Tobin's Q) defined in Table 2, and η_j are industry fixed effects (SIC3) that absorb broad sectoral differences. The coefficient of interest, β, captures the average differential average CARs for Delaware firms relative to otherwise similar non-Delaware firms over the chosen event window.[19]

In our secondary specifications, estimated across all Delaware firms (portfolio_delaware), we re-estimate Specification (5) using the corporate-control variables specified in Section 5.1:

$$CAR_{\text{portfolio_delaware},\,ij}(t_0, t_1) \;=\; \alpha \;+\; \boldsymbol{K}_{ij}\beta \;+\; \text{LOO_IndCAR}_j^{(-i)}\delta \;+\; \boldsymbol{X}_{ij}\gamma \;+\; \varepsilon_{ij}, \tag{6}$$

where $\boldsymbol{K}_{ij}$ denotes a matrix of firm-level independent variables of interest. In various sub-specifications, we set $\boldsymbol{K}_{ij}$ to VotingBlock_{ij} (the 0–1 fraction of votes controlled by the largest blockholder(s)); $\text{Ctrlmore}_{ij}^{\geq 15}$ (an indicator for firms whose largest blockholder owns more than 15% of outstanding shares)[20]; and DualClass_{ij} (an indicator for multiple-vote share structures). Because prior work (e.g., D. Aggarwal et al. (2022); Gompers et al. (2010)) suggests that concentrated governance structures are highly correlated within industries, we follow Kline et al. (2020) and Angrist (2014) in including a leave-one-out industry adjustment that preserves essential between-industry variation while controlling for unobserved, within-industry factors: the term $\text{LOO_IndCAR}_j^{(-i)}$ denotes the leave-one-out industry mean cumulative abnormal return for firm i's SIC3 industry j.

5.2.5 Mechanism Specifications

To evaluate the impact of SB 21 on fund-level exposure to both Delaware and control-oriented firms, we estimate two specifications with fund and month fixed effects. First, for all portfolio holdings, we estimate:

$$\text{DelExposure}_{\text{portfolio_all},\,kt} = \alpha + (\text{Active}_k \times \text{Post}_t)\beta + \theta_k + \nu_t + \varepsilon_{kt} \tag{7}$$

[19] Throughout, CARs are expressed in decimal returns (e.g., 0.014 corresponds to 1.4%).

[20] Analogously, $\text{Ctrlmore}_{ij}^{15-33}$ and $\text{Ctrlmore}_{ij}^{\geq 50}$ indicate, respectively, that the largest blockholder owns between 15% and 33% of outstanding shares, and at least 50%.

where $\text{DelExposure}_{\text{portfolio_all},\,kt}$ is the share of fund k's portfolio invested in Delaware-incorporated firms in month t, Active_k is an indicator for funds classified as active per Section 5.1, and Post_t indicates months after the SB 21 announcement month (i.e., February 2025). The fixed effects θ_k and ν_t absorb time-invariant fund heterogeneity and common month shocks, while the coefficient β captures the differential change in Delaware exposure for active funds in the post period relative to passive funds.

Second, restricting the portfolios to Delaware holdings only, we estimate an analogous regression for exposure to control-oriented firms:

$$\text{ControllerExposure}_{\text{portfolio_delaware},\,kt} = \alpha + (\text{Active}_k \times \text{Post}_t)\beta + \theta_k + \nu_t + \varepsilon_{kt} \tag{8}$$

where $\text{ControllerExposure}_{\text{portfolio_delaware},\,kt}$ is the log of the value-weighted percent held by the largest blockholder, computed as a portfolio-weighted average across each fund's Delaware holdings.[21] Each holding is weighted by its share in the fund's Delaware-associated net assets, so the resulting measure reflects the fund's effective exposure to control-oriented firms within its Delaware holdings.

6 Results

6.1 Effect of SB 21 on Delaware Companies

Hypothesis 1 posits that around the date of the public announcement of SB 21, Delaware companies experienced abnormal negative returns relative to non-Delaware companies. Our results are consistent with this hypothesis.

Over the main event window, the cumulative abnormal returns for Delaware companies are about 1.2 percentage points lower than for non-Delaware companies. Similar results are obtained with alternative event windows. Specifically, our baseline estimates indicate that SB 21 was accompanied by positive cumulative abnormal returns for non-Delaware companies, whereas Delaware companies saw negative cumulative abnormal returns. Table 5 reports the complete results from estimating CARs via Specification (4), and Figure 1 graphically represents the cumulative abnormal returns for Delaware and non-Delaware companies from twenty days before to twenty days after the announcement of SB 21.

[Insert Table 5 here]

[21] Consistent with the existing literature, we log-transform this strictly positive, highly right-skewed variable to mitigate skewness and facilitate linear modeling Dang et al. (2018).

[Insert Figure 1 here]

To further analyze this difference, we treat each firm's cumulative abnormal return as the dependent variable in a cross-sectional regression that controls for firm characteristics as per Specification (5). Table 6 reports our results.

[Insert Table 6 here]

Even after adjusting for these characteristics, the difference between Delaware and non-Delaware companies is statistically significant and economically large. In our main event window, the "Delaware" variable (indicating whether a company is incorporated in Delaware) is associated with an abnormal return that is 1.4 percentage points lower relative to the control group (non-Delaware companies). To appreciate the economic magnitude of this effect, one should consider that 1.4% of the market value of the Delaware companies in our sample is approximately $700 billion. Similar results are obtained with larger event windows.

These results support Hypothesis 1. They suggest that the stock market reacted negatively to SB 21, as evidenced by the abnormal negative returns of Delaware companies relative to other U.S. companies.

6.2 Effect of SB 21 on Companies with Influential Shareholders

Hypotheses 2 and 3 posit that SB 21 had a disproportionate effect on controlled companies and other companies with influential shareholders. In particular, Hypothesis 2 posits that companies with voting block smaller than 15% (which are virtually unaffected by the new rules on controller transactions) should be expected to perform better than other Delaware companies. More generally, Hypothesis 3 posits that the abnormal negative returns of Delaware companies are associated with the size of the voting block, so that companies with larger voting blocks (meaning that their major shareholders have more voting power) should experience larger negative returns.

Our results are consistent with both hypotheses. Table 7 reports the relevant estimates from Specification (4) of cumulative abnormal returns (CARs) for the three subsamples of Delaware companies constructed as described in Section 4.2.

[Insert Table 7 here]

The first subsample includes companies with voting blocks smaller than 15%, which we assume are virtually unaffected by the new rules on controller transactions. The second includes companies with voting blocks between 15% and 33.35%, which according to different considerations,

discussed in Section 4.2, may or may not be significantly affected by SB 21. The third includes companies with voting blocks larger than 33.3%, which became subject to more permissive rules on controller transactions. For companies outside the scope of the new rules (<15%), the estimated abnormal-return coefficients are either slightly negative or not statistically distinguishable from zero at the 10% level. By contrast, the other Delaware companies (>15%) exhibit far more negative coefficients, all highly significant at the 1 percent level.

Figure 2 graphically represents the cumulative abnormal returns from twenty days before to twenty days after the announcement of SB 21 for the companies unaffected by the new rules (<15%) and all the other Delaware companies. Although the divergence between the two groups is already visible, Panel B of Figure 2 sharpens the contrast by stripping out their pre-event trends.

[Insert Figure 2 here]

To further investigate these effects, we estimate the same specification as in Section 6.1 (Specification (6)) on the subsample of Delaware firms only. The corresponding results are reported in Table 8.

[Insert Table 8 here]

Our variables of interest–which we repeat across different windows–are the voting block, included in Column (1), the subset of companies more likely affected by the new rules on controller transactions (>15% voting block), included in Column (2), and the two different subsets of companies affected or potentially affected by the new rules on controlling transactions (15-33% and >33% voting block), included in Column (3).

Consistent with Hypothesis 2, the $> 15\%$ and the $> 33.3\%$ subsets are typically associated with lower abnormal returns relative to the $< 15\%$ subset. For the 15–33.3% subgroup, the point estimates are likewise negative and statistically significant, in line with this hypothesis.[22] These results seem consistent with the ex-ante uncertainty about the effect of the new rules on controller transactions on companies with voting blocks less than 33.3% (see Section 4.2).

More generally, consistent with Hypothesis 3, the size of the voting block is negatively associated with the cumulative abnormal returns. In our reference window, an increase of 10 percentage points in voting power is associated with a 0.24% lower abnormal return.[23] Simply put, companies

[22]For the 15–33.3% subgroup, estimates are not statistically significant at the 10% level for the $[-1, 7]$ and $[-1, 10]$ windows.

[23]In Table 8, a 100-percentage-point rise in voting power (from 0 % to 100 %) is associated with a 2.4 percentage-point decline in abnormal returns.

with more powerful major shareholders performed worse than other Delaware companies. These results are consistent with the critics' view that Delaware's choice to relax the rules on controller transactions was detrimental to investors as a whole.

6.3 Effect of SB 21 on Dual-Class Companies

Our Hypothesis 4 posits that dual-class companies should be disproportionately affected by SB 21 even after controlling for the voting block. The rationale of the hypothesis is that, as explained in Section 4.3, a dual-class controller has stronger incentives to expropriate public investors relative to a single-class controller.

To test the hypothesis, we estimate Specification (6) in which the independent variable of interest is an indicator for whether the company has adopted a dual-class share structure. Table 9 reports the relevant results. The results are largely consistent with the hypothesis. In five of the six reported specifications, the "Dual Class" variable has a negative coefficient, which is statistically significant, indicating that dual-class companies are associated with lower abnormal negative returns (of about 1.6 to 2.4%) relative to single-class companies.

[Insert Table 9 here]

The coefficient remains negative even after controlling for the voting block, consistent with a hypothesis that the dual-class mechanism is, by itself, a separate channel through which SB 21 harms minority investors. However, in this specification, the coefficient loses statistical significant in some of the event windows considered, thus suggesting additional caution in rejecting the null hypothesis.

6.4 Mechanisms: Effect of SB 21 on Active Funds

Hypothesis 5 posits that, around the SB 21 announcement, active mutual funds would reduce their portfolio exposure to (i) Delaware firms and (ii) control-oriented firms, since active managers are more sensitive to governance shocks that they assess as lowering long-run firm value.

To test this hypothesis, we estimate Specifications (7) and (8); the former uses all fund–stock holdings, while the latter is restricted to Delaware holdings only. Table 10 reports the results. In our baseline in Column (1), we report the coefficient on the differential change in Delaware exposure for active funds in the post period, relative to passive funds, over September 2024 through May 2025. Controlling for fund and month fixed effects, we find that, relative to passive funds, active funds reduced their Delaware exposure by about 0.2% of portfolio value after SB 21. In

Column (3), we report an analogous coefficient for exposure to controlled firms. The estimate on $\beta = -0.023$ implies that, post SB 21, active funds held portfolios with roughly a 2.27% decline in the largest blockholding.[24] Columns (2) and (4) present results for shorter post-event windows and show similar patterns. Taken together, these findings are consistent with Hypothesis 5, subject to the limitations discussed in Section 4.4.

[Insert Table 10 here]

In Figures 3 and 4, we present coefficient plots from modified versions of Specifications (7) and (8) that replace the single post indicator with a full set of $\text{Active}_k \times \text{Month}_t$ interactions, taking the treatment month as the omitted (baseline) category. In Figure 3, the estimated coefficients indicate a sharp decline immediately after February (the treatment month), followed by a reversion toward baseline in subsequent months. In Figure 4, the coefficients exhibit a pre-treatment pattern above zero—plausible given evidence that active funds typically hold fewer control-oriented firms (R. Aggarwal et al. (2011); Ferreira and Matos (2008))—and again show a sharp drop immediately after February, with little evidence of a return to baseline in the following months.

[Insert Figure 3 here]

[Insert Figure 4 here]

6.5 Effect of Match on Delaware Companies

To explore whether the Delaware Supreme Court's decision in *Match* had any effect on stock returns, we adjust the hypotheses tested so far with respect to SB 21 to the date when *Match* was decided (April 4, 2024). Consistent with the court's own position that *Match* did not change the existing law, we find very small abnormal returns, which become statistically insignificant once we control for company characteristics.

Re-estimating Specifications 4–6, we find that stock returns were, on average, largely unaffected by the *Match* decision. Table 11 reports the cumulative abnormal returns of Delaware and non-Delaware companies. Figure 5 represents the cumulative abnormal returns for Delaware and non-Delaware companies from twenty days before to twenty days after the *Match* decision. Table 12 presents the results of a multivariate regression for all the companies in the sample. Table 13 reports the cumulative abnormal returns associated with *Match* for companies with different voting blocks. Figure 6 represents the cumulative abnormal returns for companies with voting

[24] Because the dependent variable is logged, a coefficient of -0.023 maps to a proportional change of $100 \times \big(\exp(-0.023) - 1\big) \approx -2.27\%$.

blocks less than, and greater than 15%, respectively, from twenty days before to twenty days after the *Match* decision. Table 14 presents the results of a multivariate regression for companies with different voting blocks. Table 15 presents the results of a multivariate regression for dual-class and single-class companies.[25]

[Insert Table 11 here]

[Insert Figure 5 here]

[Insert Table 12 here]

[Insert Table 13 here]

[Insert Figure 6 here]

[Insert Table 14 here]

[Insert Table 15 here]

7 Conclusion

The Article evaluates Delaware's controversial corporate law reform, SB 21, by analyzing the stock market's reaction to the new bill through a series of event studies. SB 21 significantly relaxed Delaware's rules on controller transactions and introduced new constraints on shareholder litigation. Supporters argued that the reform would reduce excessive litigation and regulatory costs, thereby benefiting investors broadly. Critics warned that it would enable greater extraction of private benefits by controllers and harm minority investors.

Our analysis provides evidence consistent with critics' concerns. Delaware companies experienced statistically significant negative abnormal returns compared to non-Delaware companies upon SB 21's announcement. This effect was particularly pronounced in firms with concentrated ownership and dual-class structures, where public shareholders face heightened vulnerability to exploitation by powerful shareholders. Companies where major shareholders have voting power exceeding 15% were notably impacted, with a clear relationship between larger voting blocks and larger negative returns. Dual-class companies suffered substantial declines relative to single-class firms, underscoring heightened investor fears of expropriation inherent in these governance

[25]Here, the coefficient on the Dual-Class indicator is positive, implying higher abnormal returns for these companies; however, the association loses statistical significance once voting-power controls are introduced. A fuller exploration of this issue is left to future research.

structures. In contrast, the market response to Delaware's earlier judicial decision in the *Match* case—which upheld one of the main stricter rules overturned by SB 21—was insignificant, suggesting investors perceived no material change from that decision.

Consistent with a portfolio rebalancing channel, we also document that, relative to passive funds, active mutual funds reduced their exposure following SB 21's announcement, both to Delaware firms overall and, within Delaware holdings, to firms with more concentrated control.

Overall, combining price reactions with fund-rebalancing evidence, our findings suggest that the Delaware corporate law reform was detrimental to shareholder value. The negative market response seems to reflect market concerns that SB 21's permissive reforms disproportionately favor controlling shareholders, eroding protections critical to minority investors. The economic impact is substantial, with Delaware companies losing hundreds of billions of dollars in aggregate market value. Thus, while SB 21 may have satisfied the demand for de-regulation coming from certain corporate actors, the empirical evidence suggests significant investor apprehension about its long-term implications for shareholder value.

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Table 1: The New Rules of SB 21

Old Rules	**Initial Version of SB 21**	**Final Version of SB 21**
Double cleansing for all controller transactions	Double cleansing for squeeze-outs Single cleansing for other controller transactions	Same as initial version
All members of special committee must be independent	Majority of special committee must be independent	All members of special committee must be considered independent by the board. Cleansing requires approval by majority of independent directors
Double cleansing condition from inception (ab initio)	Condition on shareholder approval before submission to shareholder vote	Same as initial version
Special committee must be empowered to choose and hire its own advisers	Special committee need not be empowered to choose and hire its own advisers	Same as initial version
Special committee must act with due care	Special committee must act in good faith	Special committee must act without gross negligence or bad faith
Shareholder approval by majority of outstanding votes of disinterested shareholders	Shareholder approval by majority of votes cast by disinterested shareholders	Same as initial version
A shareholder may be considered a controlling shareholder with less than 33.3% of voting power	A shareholder may not be considered a controlling shareholder with less than 33.3% of voting power[26]	Same as initial version
Controlling shareholders have both duties of care and loyalty	Controlling shareholders have only duty of loyalty, not care	Same as initial version
Director independence determined by court based on facts and circumstances	Enhanced presumption of independence if board determines that stock exchange standards of independence are met Nomination by interested person not enough to prove independence	Same as initial version
"Books and records" that shareholders may inspect include informal documents and communications	"Books and records" limited to certain formal documents and communications	"Books and records" limited to certain formal documents and communications Court may order production of other records if plaintiff shows compelling need with clear and convincing evidence
No bright-line time limits for books-and-records requests	Shareholders may inspect books and records within 3 years of the request	Same as initial version

The Table compares the new rules on conflicted transactions, director independence, and inspection of books and records contained in SB 21 (both in its initial and final version) with the corresponding old rules, mainly of judicial creation.

[26] See *supra* note 80.

Table 2: Delaware and Non-Delaware Companies

	Non-Delaware	Delaware	Total	Test
Observations	845 (47.6%)	932 (52.4%)	1,777 (100.0%)	
Firm Size	8.514 (1.667)	8.810 (1.629)	8.678 (1.652)	<0.001
Log BM	-0.036 (1.071)	0.604 (1.035)	0.318 (1.098)	<0.001
RoA	0.027 (0.403)	0.021 (0.143)	0.024 (0.289)	0.680
Leverage Ratio	0.319 (0.268)	0.314 (0.264)	0.316 (0.266)	0.735
Tangibility	0.226 (0.264)	0.210 (0.233)	0.216 (0.246)	0.202
Tobin's Q	4.320 (49.663)	10.950 (190.632)	7.997 (145.774)	0.354

The Table reports descriptive statistics for the Delaware and non-Delaware companies included in our final sample, with standard deviations in parenthesis (Observation reports the percentage of total in parenthesis). The "Test" column reports the p-value of a test of statistical significance of the differences between Delaware and non-Delaware companies. "Firm Size" reports the logarithm of the firm's total assets. "Log BM" reports the logarithm of the book-to-market ratio of the firm. "RoA" reports the firm's return on assets, measured by the ratio of the company's net income to its total assets. "Leverage Ratio" reports the firm's total debt to total assets. "Tangibility" reports the firm's property, plant, and equipment to total assets. Tobin's Q reports the firm's market capitalization of equity plus total debt divided by total assets. All data are collected from the CRSP-Compustat database, using 2024 annual values.

Table 3: Voting Power

	$<$ 15 % control	15–33 % control	$\geq$ 33% control	Total	Test
Observations	579 (62.1%)	190 (20.4%)	164 (17.6%)	933 (100.0%)	
Firm Size	9.085 (1.672)	8.231 (1.449)	8.507 (1.434)	8.810 (1.628)	<0.001
Log BM	0.575 (1.065)	0.626 (1.052)	0.688 (0.902)	0.606 (1.036)	0.449
RoA	0.030 (0.139)	0.009 (0.140)	0.004 (0.163)	0.021 (0.144)	0.054
Leverage Ratio	0.313 (0.254)	0.306 (0.279)	0.328 (0.284)	0.314 (0.264)	0.726
Tangibility	0.209 (0.235)	0.210 (0.239)	0.209 (0.219)	0.209 (0.232)	0.998
Tobin's Q	5.815 (37.923)	33.148 (416.884)	3.315 (3.450)	10.947 (190.530)	0.196

The Table reports descriptive statistics for three subsamples of Delaware companies based on the percentage of votes that may be exercised by the shareholder(s) with the largest voting power. Standard deviations are reported in parentheses (Observations report the percentage of total observations in parentheses). The "Test" column reports the p-value of a test of statistical significance of the difference between subsamples. We report the variables of interest indicated in Table 2.

Table 4: Dual-Class Companies

	Single-Class Companies	Dual-Class Companies	Total	Test
Observations	794 (85.1%)	139 (14.9%)	933 (100.0%)	
Firm Size	8.850 (1.634)	8.577 (1.576)	8.810 (1.628)	0.068
Log BM	0.575 (1.059)	0.783 (0.869)	0.606 (1.036)	0.029
RoA	0.023 (0.144)	0.007 (0.145)	0.021 (0.144)	0.217
Leverage Ratio	0.316 (0.269)	0.304 (0.237)	0.314 (0.264)	0.620
Tangibility	0.213 (0.238)	0.190 (0.199)	0.209 (0.232)	0.298
Tobin's Q	12.243 (206.541)	3.557 (3.611)	10.947 (190.530)	0.620

The Table reports descriptive statistics for Delaware companies with and without a dual-class voting structure. Standard deviations are reported in parentheses (Observations report the percentage of total observations in parentheses). The "Test" column reports the p-value of a test of statistical significance of the difference between subsamples. We report the variables of interest indicated in Table 2.

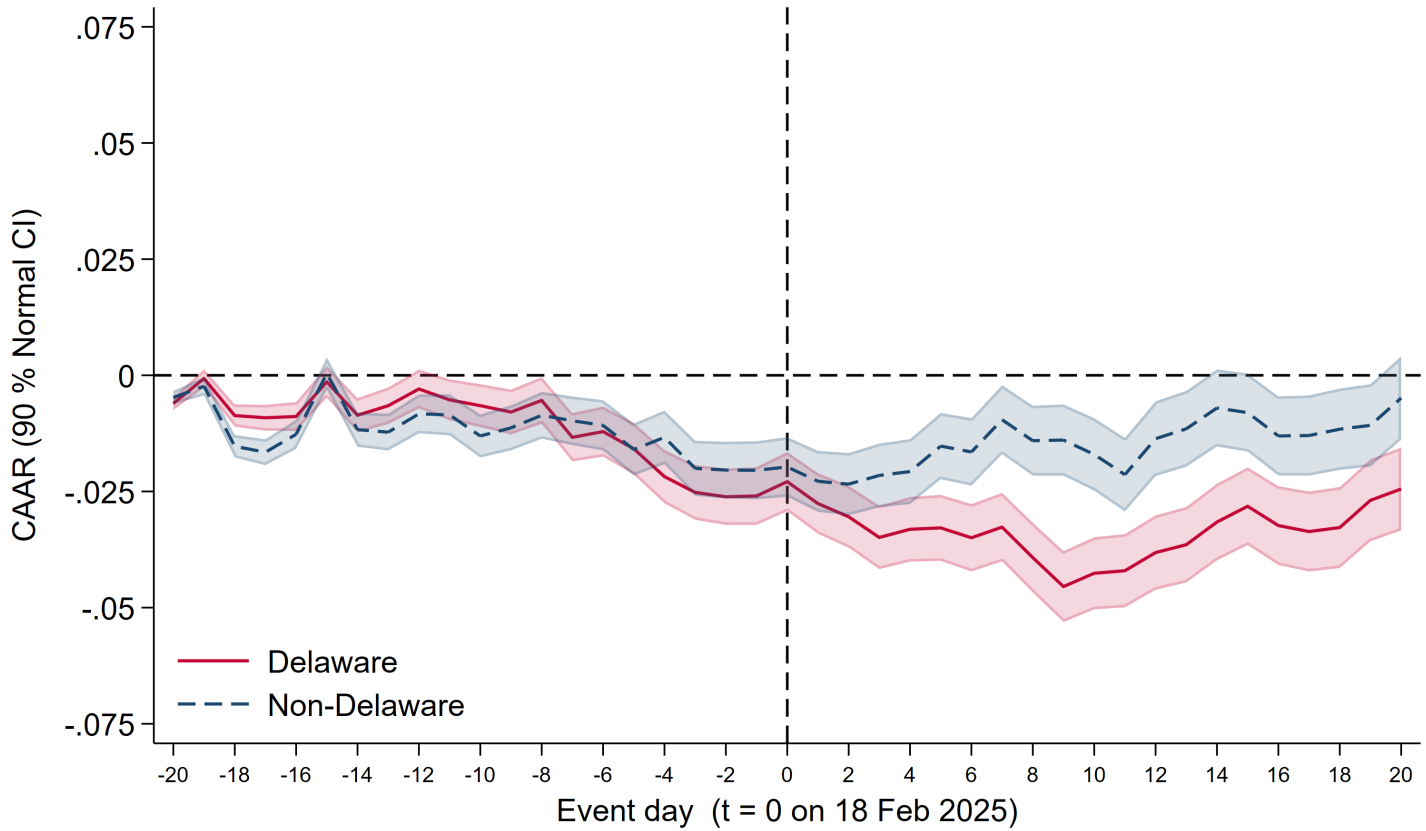
Table 5: Cumulative Abnormal Returns Associated with SB 21 (Delaware Variable) (All Firms)

	Delaware		**Non-Delaware**	
	CAR	N	CAR	N
[-1;1]	-0.0015	934	-0.0024	924
	()		()	
[-1;3]	-0.0088***	934	-0.0012	924
	(**)		(*)	
[-1;5]	-0.0067***	934	0.0052**	924
	()		(***)	
[-1;7]	-0.0065**	934	0.0108***	924
	()		(***)	
[-1;10]	-0.0165***	934	0.0034	924
	(**)		(***)	

The Table reports the cumulative abnormal returns (CARs) of Delaware and non-Delaware companies within five different event windows. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. Statistical significance is assessed using two tests: (i) robust normal Z-statistics reported next to each coefficient, and (ii) Boehmer–Masumeci–Poulsen (1991) standardized cross-sectional Z-statistics shown in parentheses.[27]

[27] See Boehmer et al. (1991).

Figure 1: Cumulative Abnormal Returns Associated with SB 21 (Delaware Variable) (All Firms)



The Figure represents the cumulative abnormal returns of Delaware and non-Delaware companies from twenty trading days before and twenty trading days after the event. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window.

Table 6: Cumulative Abnormal Return Regressions on Delaware Variable (SB21) (All Firms)

	(1) CAR[-1,1]	(2) CAR[-1,3]	(3) CAR[-1,5]	(4) CAR[-1,7]	(5) CAR[-1,10]
Delaware	0.000	-0.008**	-0.014***	-0.016***	-0.022***
	(0.934)	(0.025)	(0.000)	(0.003)	(0.000)
Constant	-0.017	-0.041***	-0.049***	-0.065***	-0.092***
	(0.114)	(0.000)	(0.002)	(0.000)	(0.000)
Observations	1522	1522	1522	1522	1522
Industry FE	Yes	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes	Yes
R-Sq	0.198	0.244	0.267	0.233	0.242
F Statistic	0.855	4.190	8.246	9.475	8.183

The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company is incorporated in Delaware. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

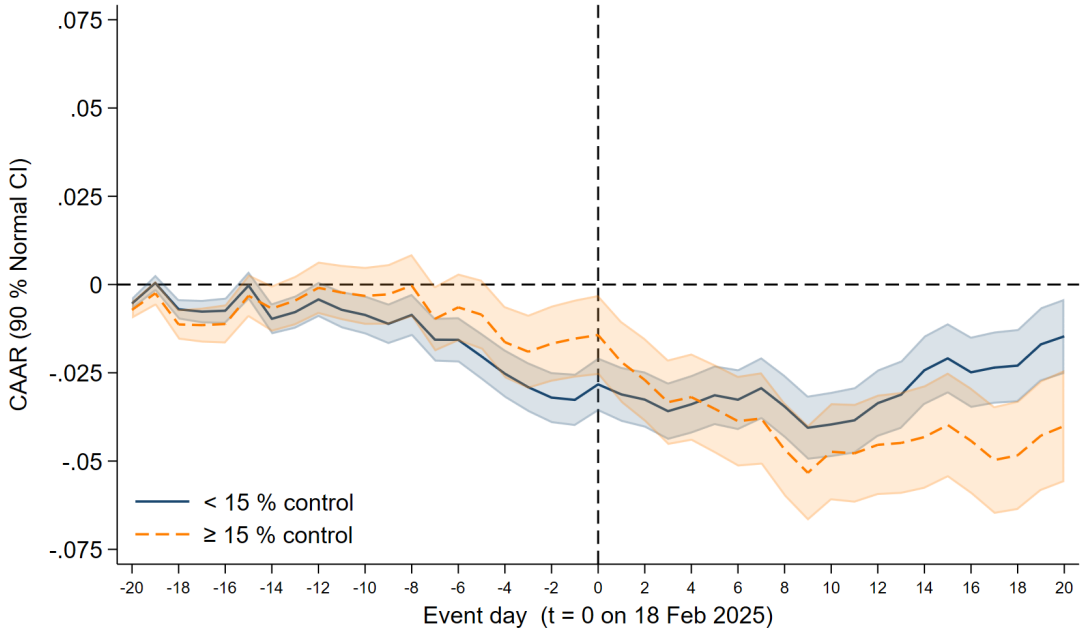
Table 7: Cumulative Abnormal Returns Associated with SB 21 (Voting Blocks) (Delaware Only)

	< 15% **Voting Block**		**15%–33% Voting Block**		> 33% **Voting Block**	
	CAR	N	CAR	N	CAR	N
[-1;1]	0.0009	574	-0.0054*	198	-0.0049	162
	()		()		()	
[-1;3]	-0.0039*	574	-0.0148***	198	-0.0187***	162
	()		(**)		(*)	
[-1;5]	0.0007	574	-0.0138***	198	-0.0241***	162
	(*)		()		()	
[-1;7]	0.0027	574	-0.0148***	198	-0.0290***	162
	(**)		()		(*)	
[-1;10]	-0.0076**	574	-0.0294***	198	-0.0320***	162
	()		(***)		(**)	

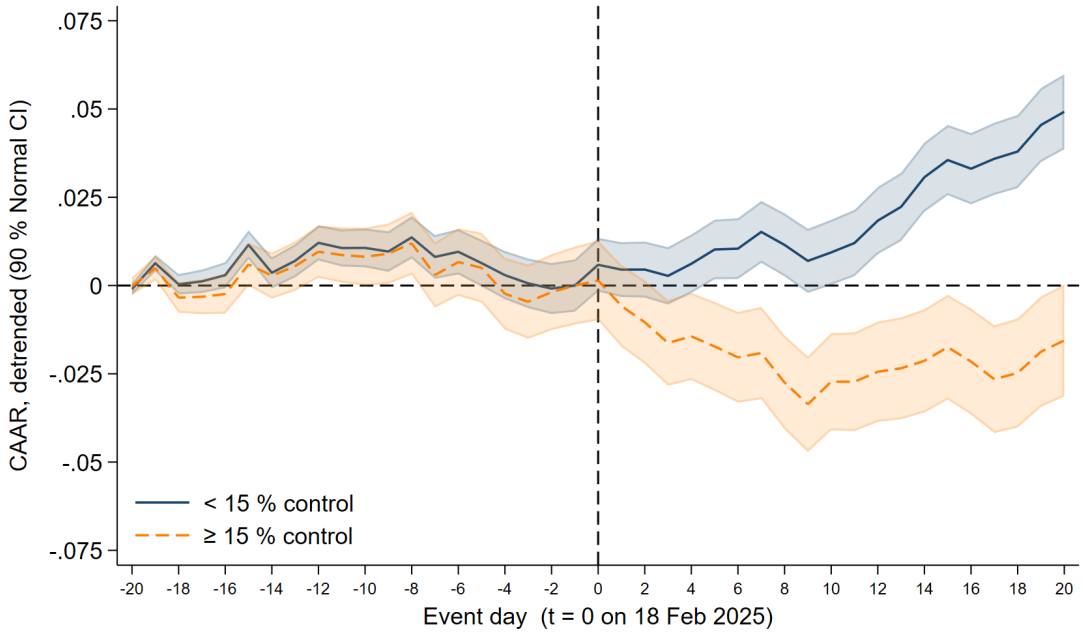
The Table reports the cumulative abnormal returns of different subsets of Delaware companies, depending on whether the percentage of votes that may be exercisable by the shareholder(s) with the greatest voting power ("Voting Block") is less than 15%, between 15% and 33.3%, or greater than 33.3%. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. Statistical significance is assessed using two tests: (i) robust normal Z-statistics reported next to each coefficient, and (ii) Boehmer–Masumeci–Poulsen (1991) standardized cross-sectional Z statistics shown in parentheses. See Appendix.

Figure 2: Cumulative Abnormal Returns Associated with SB 21 ($\text{Ctrlmore}_{ij}^{\geq 15}$) (Delaware Only)

(a) Panel A



(b) Panel B



Panels A and B of this Figure represent the cumulative abnormal returns of Delaware companies with a voting block less than 15% and other Delaware companies from twenty trading days before and twenty trading days after the event. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window. Panel A represents the baseline cumulative abnormal returns without adjustment. Panel B CARs are linearly de-trended by estimating $\hat{\alpha} + \hat{\beta}t$ on the pre-event window (t=-20) to (t=-1) for each subset of firms and subtracting the fitted values from the entire series. The resulting residuals are then re-anchored so that day −1 equals zero, making all reported CARs deviations from that last pre-event day.

Table 8: Cumulative Abnormal Return Regressions on Voting Blocks (SB21) (Delaware Only)

	CAR[-1,1]			CAR[-1,3]			CAR[-1,5]			CAR[-1,7]			CAR[-1,10]		
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)	(14)	(15)
Voting Block	-0.007			-0.013**			-0.024***			-0.031**			-0.025**		
	(0.319)			(0.041)			(0.002)			(0.012)			(0.038)		
>15%		-0.004			-0.011***			-0.016***			-0.019**			-0.019**	
		(0.281)			(0.005)			(0.004)			(0.017)			(0.048)	
15–33%			-0.005			-0.011**			-0.014**			-0.013*			-0.017*
			(0.372)			(0.020)			(0.019)			(0.065)			(0.082)
>33.3%			-0.003			-0.012*			-0.018**			-0.026**			-0.020*
			(0.511)			(0.071)			(0.014)			(0.016)			(0.076)
Constant	-0.016	-0.014	-0.014	-0.030**	-0.022*	-0.022	-0.021	-0.012	-0.013	-0.045**	-0.035	-0.038	-0.070***	-0.058**	-0.059**
	(0.106)	(0.119)	(0.130)	(0.021)	(0.092)	(0.101)	(0.210)	(0.506)	(0.481)	(0.043)	(0.158)	(0.124)	(0.003)	(0.017)	(0.017)
Observations	859	860	860	859	860	860	859	860	860	859	860	860	859	860	860
Industry Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
R-Sq	0.077	0.077	0.077	0.097	0.101	0.101	0.121	0.124	0.124	0.091	0.094	0.096	0.088	0.091	0.091
F Statistic	11.200	9.548	9.475	23.922	24.590	22.500	10.812	12.325	11.151	8.190	9.008	8.688	13.743	14.334	12.873

The Table reports the results of an OLS regression of cumulative abnormal returns on a continuous variable measuring the percentage of votes that may be exercisable by the shareholder(s) with the greatest voting power ("Voting Block") and dummy variables indicating whether the company's voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table 9: Cumulative Abnormal Return Regressions on Dual-Class (SB21) (Delaware Only)

	CAR[-1,1]		CAR[-1,3]		CAR[-1,5]		CAR[-1,7]		CAR[-1,10]	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
Dual Class	-0.002	-0.009	-0.016**	-0.023**	-0.024**	-0.026**	-0.025*	-0.021	-0.024*	-0.020
	(0.664)	(0.390)	(0.044)	(0.038)	(0.019)	(0.041)	(0.078)	(0.181)	(0.082)	(0.201)
Voting block (Centered)		-0.013***		-0.010**		-0.016**		-0.020***		-0.012
		(0.006)		(0.045)		(0.017)		(0.000)		(0.133)
Dual Class × Voting Block (Centered)		0.037		0.032		0.023		0.003		-0.005
		(0.143)		(0.159)		(0.471)		(0.918)		(0.869)
Constant	-0.018*	-0.016*	-0.033**	-0.031**	-0.027	-0.024	-0.054**	-0.051**	-0.076***	-0.074***
	(0.051)	(0.072)	(0.013)	(0.016)	(0.104)	(0.148)	(0.014)	(0.021)	(0.002)	(0.002)
Observations	859	858	859	858	859	858	859	858	859	858
Industry Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
R-Sq	0.076	0.081	0.102	0.104	0.127	0.129	0.093	0.096	0.091	0.092
F Statistic	11.154	13.093	36.423	33.575	11.948	11.512	8.862	9.066	15.157	14.089

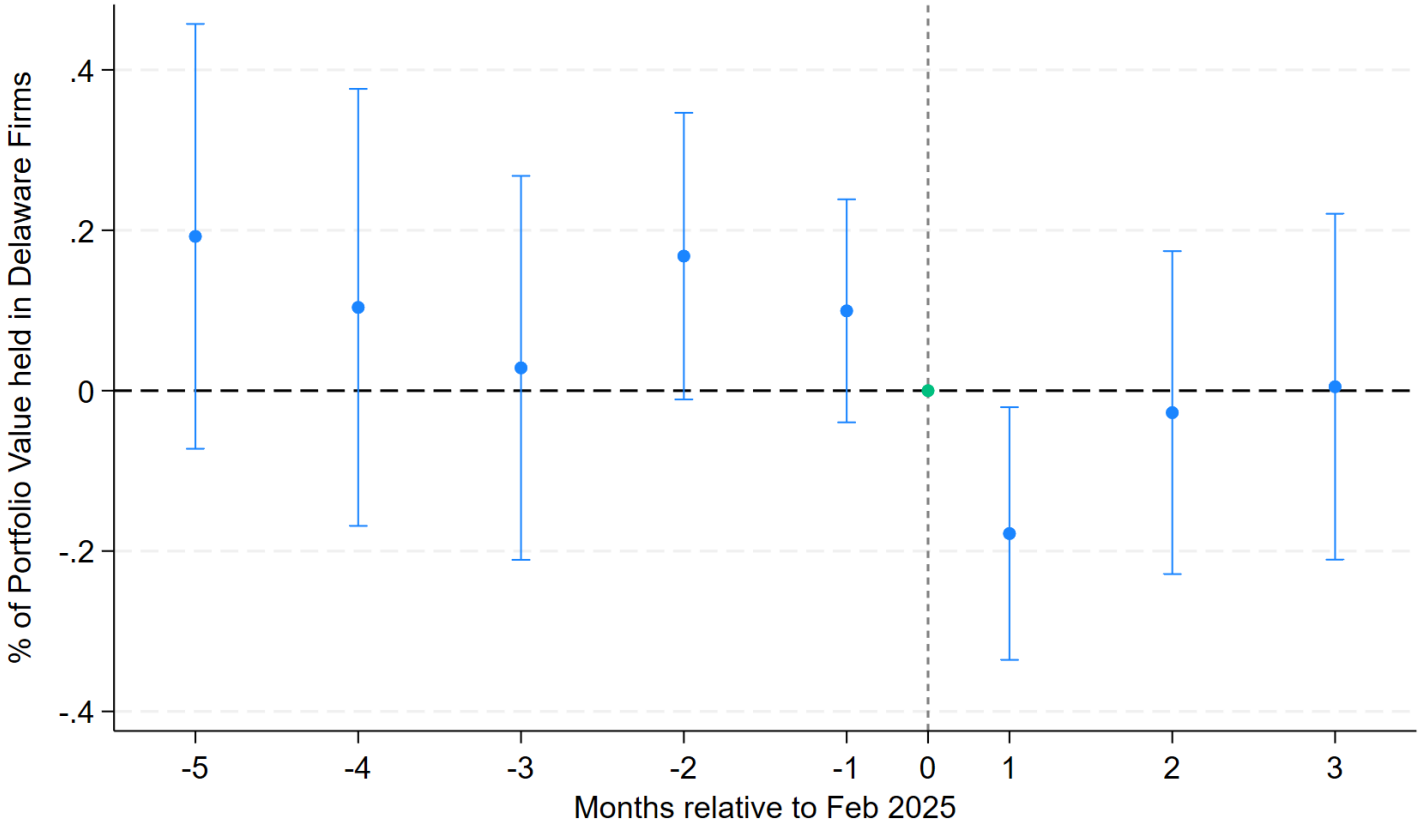
The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company has a dual-class voting structure. In the second column for each window, we control for a continuous variable measuring the percentage of votes that may be exercisable by the shareholder(s) with the greatest voting power ("Voting Block") and we interact the two variables. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table 10: Mechanisms (SB21)

	All Holdings		Delaware Holdings	
	(1)	(2)	(3)	(4)
Active × Post	-0.194**	-0.196**	-0.023**	-0.023**
	(0.031)	(0.017)	(0.015)	(0.011)
Constant	46.092***	46.463***	-2.365***	-2.358***
	(0.000)	(0.000)	(0.000)	(0.000)
Observations	38,264	28,927	28,962	21,958
Portfolio FE	Yes	Yes	Yes	Yes
Month FE	Yes	Yes	Yes	Yes
R-Sq	0.991	0.993	0.936	0.948

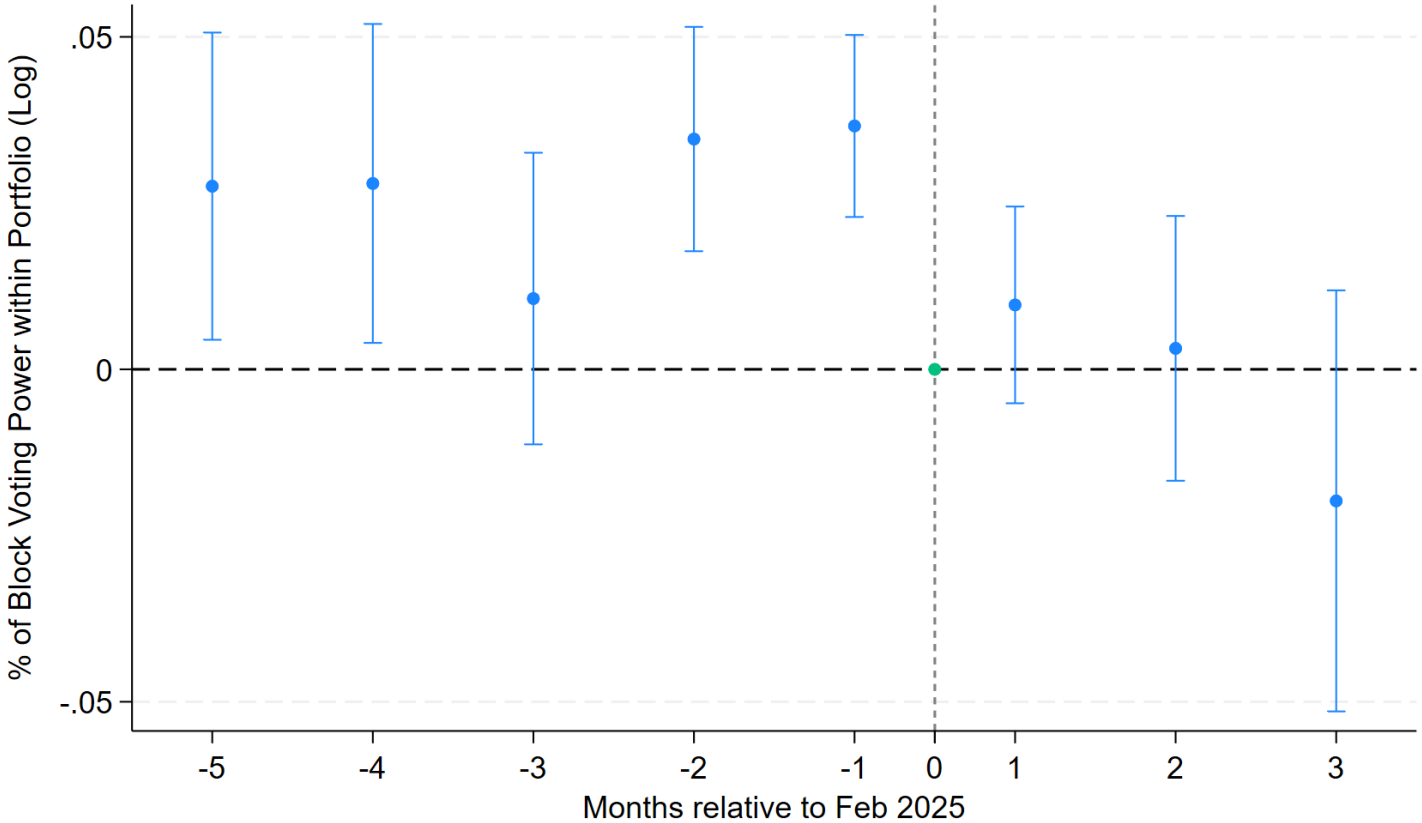
This table reports OLS regressions of the outcomes described below on the interaction term $\text{Active}_k \times \text{Post}_t$, where Active_k denotes an active fund as defined in Section 5.1. Columns (1)–(2) use the full holdings sample; the dependent variable is the portfolio share invested in Delaware-incorporated firms. Columns (3)–(4) restrict to Delaware-incorporated holdings; the dependent variable is the log of the portfolio's value-weighted percent held by the largest blockholder. Columns (1) and (3) cover Sep 2024–May 2025; Columns (2) and (4) cover Nov 2024–May 2025. All regressions are include portfolio fixed effects and month fixed effects. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the portfolio level.

Figure 3: Mechanisms (SB21) (Delaware Variable) (All Firms)



This figure plots coefficients from Specification (7) that replaces the single post indicator with a full set of $\text{Active}_k \times \text{Month}_t$ interactions, where months are measured relative to February 2025 (the vertical dashed line at $t = 0$). Dots show point estimates and bars show 95% confidence intervals. The dependent variable is the fund's portfolio share invested in Delaware-incorporated firms (in percentage points). Coefficients are reported relative to the treatment month, which serves as the omitted baseline.

Figure 4: Mechanisms (SB21) (Voting Power) (Delaware Only)



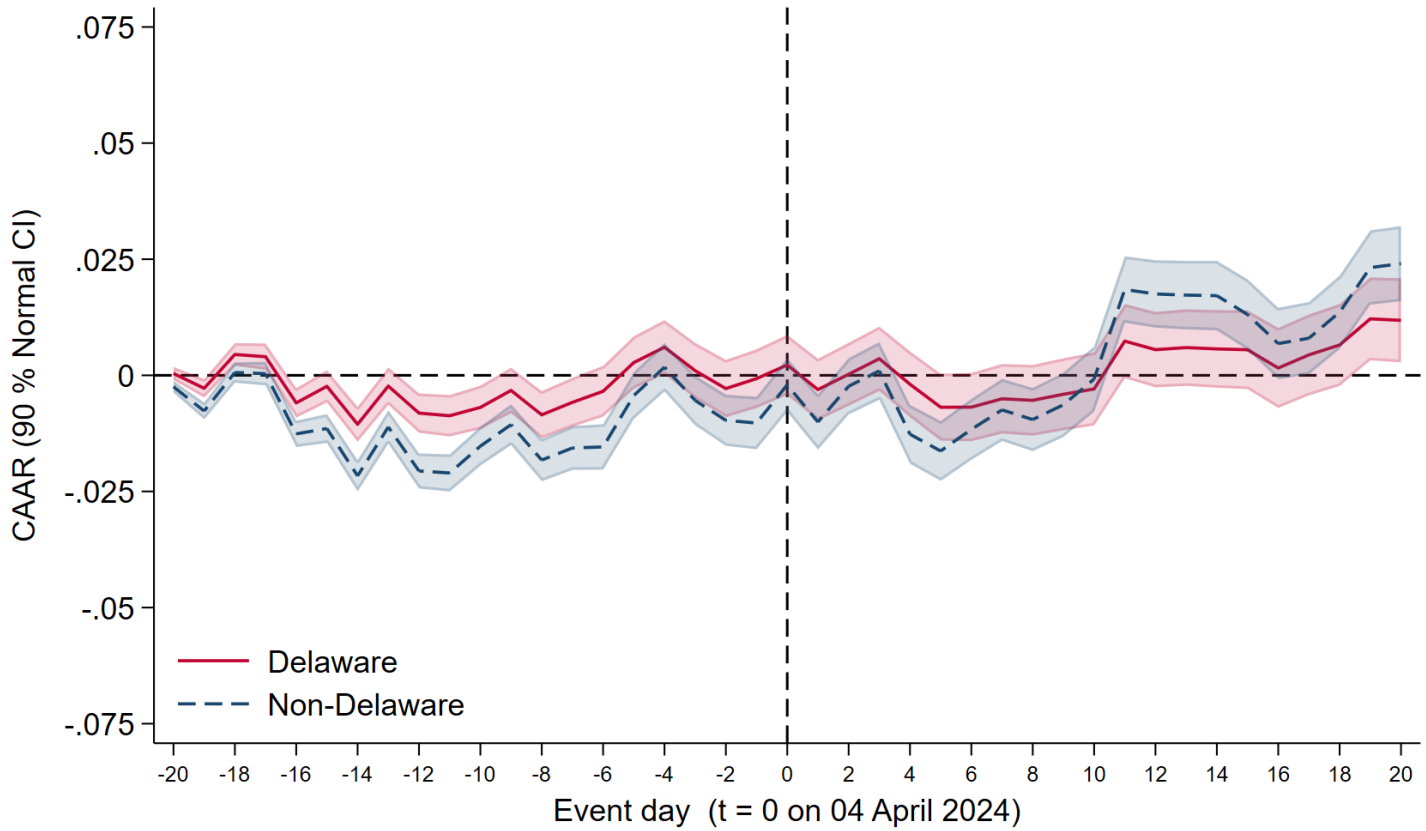
This figure plots coefficients from Specification (8) that replaces the single post indicator with a full set of $\text{Active}_k \times \text{Month}_t$ interactions, where months are measured relative to February 2025 (the vertical dashed line at $t = 0$). Dots denote point estimates and bars denote 95% confidence intervals. The dependent variable is the log of the value-weighted percent held by the largest blockholder within each fund's Delaware portfolio. Coefficients are reported relative to the treatment month, which serves as the omitted baseline.

Table 11: Cumulative Abnormal Returns Associated with Match (Delaware Variable) (All Firms)

	Delaware		**Non-Delaware**	
	CAR	N	CAR	N
[-1;1]	-0.0002	922	-0.0004	924
	()		()	
[-1;3]	0.0064***	922	0.0106***	924
	(***)		(***)	
[-1;5]	-0.0040*	922	-0.0066***	924
	(*)		(***)	
[-1;7]	-0.0022	922	0.0022	924
	()		()	
[-1;10]	-0.0001	922	0.0089***	924
	()		(**)	

The Table reports the cumulative abnormal returns of Delaware and non-Delaware companies within five different event windows, around the date of the Delaware Supreme Court's *Match* decision. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. Statistical significance is assessed using two tests: (i) robust normal Z-statistics reported next to each coefficient, and (ii) Boehmer–Masumeci–Poulsen (1991) standardized cross-sectional Z-statistics shown in parentheses. See Appendix.

Figure 5: Cumulative Abnormal Returns Associated with Match (Delaware Variable) (All Firms)



The Figure represents the cumulative abnormal returns of Delaware and non-Delaware companies from twenty trading days before and twenty trading days after the event. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window.

Table 12: Cumulative Abnormal Return Regressions on Delaware Variable (Match) (All Firms))

	(1) CAR[-1,1]	(2) CAR[-1,3]	(3) CAR[-1,5]	(4) CAR[-1,7]	(5) CAR[-1,10]
Delaware	0.001	0.001	0.003	-0.001	0.001
	(0.600)	(0.812)	(0.481)	(0.852)	(0.790)
Constant	0.006	0.029***	0.010	0.024**	0.038***
	(0.335)	(0.002)	(0.319)	(0.028)	(0.001)
Observations	1513	1513	1513	1513	1513
Industry FE	Yes	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes	Yes
R-Sq	0.236	0.230	0.216	0.189	0.238
F Statistic	1.911	12.010	0.965	1.927	3.157

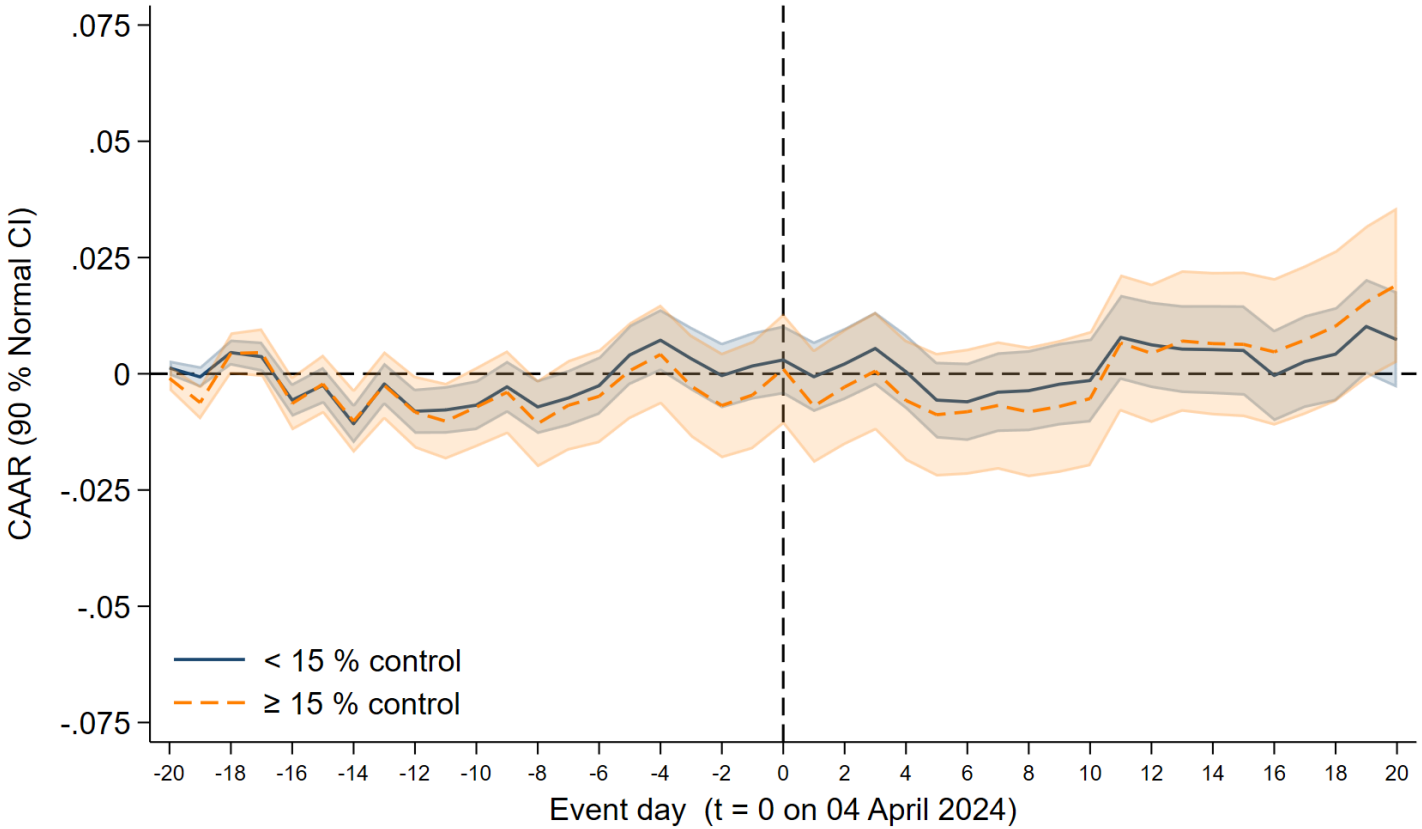
The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company is incorporated in Delaware, around the date of the Delaware Supreme Court's *Match* decision. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table 13: Cumulative Abnormal Returns Associated with Match (Voting Blocks) (Delaware Only)

	< 15% **Voting Block**		**15%–33% Voting Block**		> 33% **Voting Block**	
	CAR	N	CAR	N	CAR	N
[-1;1]	-0.0003	569	-0.0001	191	-0.0002	162
	()		()		()	
[-1;3]	0.0058***	569	0.0074	191	0.0074	162
	(**)		(***)		(**)	
[-1;5]	-0.0053**	569	-0.0025	191	-0.0013	162
	(**)		()		()	
[-1;7]	-0.0036	569	0.0013	191	-0.0015	162
	()		()		()	
[-1;10]	-0.0011	569	-0.0009	191	0.0043	162
	()		()		()	

The Table reports the cumulative abnormal returns of different subsets of Delaware companies, depending on whether the percentage of votes that may be exercises by the shareholder(s) with the greatest voting power ("Voting Block") is less than 15%, between 15% and 33.3%, or greater than 33.3%, around the date of the Delaware Supreme Court's *Match* decision. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. Statistical significance is assessed using two tests: (i) robust normal Z-statistics reported next to each coefficient, and (ii) Boehmer–Masumeci–Poulsen (1991) standardized cross-sectional Z statistics shown in parentheses. See Appendix.

Figure 6: Cumulative Abnormal Returns Associated with Match ($\text{Ctrlmore}_{ij}^{\geq 15}$) (Delaware Only)



The Figure represents the cumulative abnormal returns of Delaware companies with a voting block less than 15% and other Delaware companies from twenty trading days before and twenty trading days after the event, around the date of the Delaware Supreme Court's *Match* decision. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window.

Table 14: Cumulative Abnormal Return Regressions on Voting Blocks (Match) (Delaware Only)

	CAR[-1,1]			CAR[-1,3]			CAR[-1,5]			CAR[-1,7]			CAR[-1,10]		
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)	(14)	(15)
Voting Block	0.005*			0.002			0.003			0.000			-0.001		
	(0.060)			(0.654)			(0.587)			(0.961)			(0.870)		
>15%		0.001			0.001			0.003			0.004			0.002	
		(0.419)			(0.718)			(0.384)			(0.261)			(0.624)	
15–33%			0.001			0.000			0.002			0.005			-0.001
			(0.596)			(0.900)			(0.511)			(0.175)			(0.877)
>33.3%			0.002			0.001			0.003			0.003			0.004
			(0.531)			(0.679)			(0.389)			(0.515)			(0.349)
Constant	0.005	0.005	0.005	0.032***	0.032***	0.032***	0.017**	0.015	0.015	0.029***	0.024**	0.024**	0.027**	0.024*	0.025*
	(0.457)	(0.375)	(0.355)	(0.001)	(0.001)	(0.001)	(0.045)	(0.116)	(0.117)	(0.010)	(0.036)	(0.039)	(0.043)	(0.086)	(0.079)
Observations	846	847	847	846	847	847	846	847	847	846	847	847	846	847	847
Industry Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
R-Sq	0.143	0.143	0.143	0.120	0.121	0.121	0.081	0.081	0.081	0.074	0.075	0.075	0.099	0.099	0.099
F Statistic	27.829	24.178	21.603	77.554	83.133	72.346	16.463	16.688	14.785	10.968	11.010	9.823	15.862	15.961	14.552

The Table reports the results of an OLS regression of cumulative abnormal returns on a continuous variable measuring the percentage of votes that may be exercisable by the shareholder(s) with the greatest voting power ("Voting Block") and dummy variables indicating whether the company's voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%, around the date of the Delaware Supreme Court's *Match* decision. Firm controls include the firm-level financial variables reported in Table 2. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table 15: Cumulative Abnormal Return Regressions on Dual-Class (Match) (Delaware Only)

	CAR[-1,1]		CAR[-1,3]		CAR[-1,5]		CAR[-1,7]		CAR[-1,10]	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
Dual Class	0.003	0.001	0.006**	0.003	0.010***	0.010**	0.009*	0.007	0.014**	0.013**
	(0.186)	(0.786)	(0.038)	(0.373)	(0.006)	(0.019)	(0.063)	(0.230)	(0.011)	(0.022)
Voting block (Centered)		0.003		-0.004		-0.004		-0.008		-0.013**
		(0.441)		(0.345)		(0.378)		(0.160)		(0.012)
Dual Class × Voting Block (Centered)		0.005		0.015		0.005		0.015		0.015
		(0.608)		(0.230)		(0.693)		(0.293)		(0.407)
Constant	0.006	0.006	0.032***	0.032***	0.017*	0.017*	0.027**	0.028**	0.024*	0.026*
	(0.253)	(0.335)	(0.001)	(0.001)	(0.059)	(0.050)	(0.013)	(0.012)	(0.085)	(0.065)
Observations	846	845	846	845	846	845	846	845	846	845
Industry Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
R-Sq	0.144	0.144	0.124	0.125	0.085	0.085	0.077	0.078	0.104	0.106
F Statistic	24.111	20.653	65.171	52.855	20.295	16.652	10.787	9.119	17.271	14.504

The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company has a dual-class voting structure, around the date of the Delaware Supreme Court's *Match* decision. In the second column of each window, we control for a continuous variable measuring the percentage of votes that may be exercises by the shareholder(s) with the greatest voting power ("Voting Block") and we interact the two variables. Firm controls include the financial variables reported in Table 2. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

8 Appendix

8.1 Placebo Tests

Figure A1 implements the cross-sectional inference procedure of Cohn et al. (2024) for our Delaware indicator. For each trading day in the pre-event window $s \in \{-250, -20\}$, we re-estimate the cross-sectional regression of $\text{CAR}_i(-1, 5)$ on the Delaware dummy (with baseline controls), treating s as a pseudo event date, and record the estimated coefficient on Delaware. The histogram reports the empirical distribution of these placebo coefficients. The dashed vertical line marks the actual event-date estimate ($\hat{\beta}_{\text{event}} = -0.0142$). The distribution is centered close to zero (mean ≈ 0.0004, s.d. ≈ 0.0048), whereas the event-date estimate lies far in the left tail, yielding an empirical p-value of $0/221 = 0.000$ and a small-sample corrected p-value of $(0+1)/(221+1) = 0.0045$.[28]

Figure A2 performs the same placebo exercise on the subsample of Delaware firms, with the indicator of interest equal to $\{\text{Ctrl} \geq 15\%\}$. For each pre-event trading day $s \in \{-250, -20\}$, we compute $\text{CAR}_i(-1, 5)$ around s and re-estimate the cross section on this $\geq 15\%$-control dummy (with the same baseline controls), accumulating the resulting placebo coefficients into an empirical reference distribution. The dashed line denotes the true event-date estimate ($\hat{\beta}_{\text{event}} = -0.0157$). The placebo distribution is again centered near zero (mean ≈ 0.0004, s.d. ≈ 0.0053), while the event-date estimate lies deep in the left tail, producing an empirical p-value of $0/221 = 0.000$ and a small-sample corrected value of $(0 + 1)/(221 + 1) = 0.0045$.

Methodologically, these procedures benchmark each event-date cross-sectional association against its own pre-event sampling distribution, addressing the risk that conventional standard errors understate sampling variability due to latent confounding or cross-day dependence in short-horizon return–characteristic regressions (Cohn et al. (2024)). The figures indicate that both the Delaware effect and the $\geq 15\%$-control effect observed at the SB 21 announcement are highly unlikely to arise from pre-event dynamics that might otherwise generate spurious cross-sectional significance.

8.2 Fama–French Five-Factor Model

The key results of our main paper harness the Market Model detailed by MacKinlay (1997). Compared with the single-factor market model commonly employed in event studies (MacKinlay (1997)), the Fama–French framework specifies expected returns as a linear function of system-

[28] Following the recommended finite-sample correction, we compute $p = (r+1)/(N+1)$ where r counts placebo coefficients with $|\hat{\beta}_{\text{placebo}}| \geq |\hat{\beta}_{\text{event}}|$ and N is the number of placebo dates.

atic risk factors. Building on the original three-factor specification (Fama and French (1993)), the Fama–French five-factor model (Fama and French (2015)) augments the excess market return, size (SMB), and value (HML) with profitability (RMW) and investment (CMA). By attributing to "normal" performance any return component correlated with these systematic influences, it isolates the residual as the cumulative abnormal return (CAR). Although this richer benchmark further mitigates omitted-variable bias, the need to estimate additional factor loadings can introduce extra parameter uncertainty and may unintentionally absorb part of the event-induced variation—especially if the event itself alters firms' exposures to SMB, HML, RMW, or CMA—thereby weakening the statistical power to detect genuine abnormal returns.

8.2.1 Variable Definitions

In addition to the variable defined in Section 5.2.3, to use the Fama–French five-factor model we employ the following variables.

Symbol	Description
R_{fs}	Daily risk-free rate in the estimation window (1-month T-bill).
R_{ft}	Daily risk-free rate in the event window (1-month T-bill).
$MKT_s = R_{ms} - R_{fs}$	Fama–French Excess-market factor in the estimation window (broad market portfolio's return above the risk-free rate).
$MKT_t = R_{mt} - R_{ft}$	Fama–French Excess-market factor in the event window (broad market portfolio's return above the risk-free rate).
SMB_s	Fama–French Size factor (small minus big) in the estimation window (return spread of small-cap minus big-cap stocks).
SMB_t	Fama–French Size factor (small minus big) in the event window (return spread of small-cap minus big-cap stocks).
HML_s	Fama–French Value factor (high minus low) in the estimation window (return spread of high versus low book-to-market ("value" minus "growth") stocks).
HML_t	Fama–French Value factor (high minus low) in the event window (return spread of high versus low book-to-market ("value" minus "growth") stocks).
RMW_s	Fama–French Profitability factor (robust minus weak) in the estimation window (return spread of firms with high versus low operating profitability).
RMW_t	Fama–French Profitability factor (robust minus weak) in the event window (return spread of firms with high versus low operating profitability).
CMA_s	Fama–French Investment factor (conservative minus aggressive) in the estimation window (return spread of firms with low versus high investment rates/asset growth).
CMA_t	Fama–French Investment factor (conservative minus aggressive) in the event window (return spread of firms with low versus high investment rates/asset growth).

8.2.2 Estimation Equation on Excess Returns

For $s \in \mathcal{S}$, we estimate the following specification:

$$(R_{is} - R_{fs}) = \alpha_i + \beta_i^{MKT} MKT_s + \beta_i^{SMB} SMB_s + \beta_i^{HML} HML_s + \beta_i^{RMW} RMW_s + \beta_i^{CMA} CMA_s + \varepsilon_{is}$$

where β_i^{MKT} represents the firm's exposure to broad market excess returns, β_i^{SMB} represents the firm's tilt towards a small–cap versus large–cap factor, β_i^{HML} represents the firm's tilt towards a value versus growth factor, β_i^{RMW} measures sensitivity to a profitability factor (high minus low operating profitability), β_i^{CMA} measures sensitivity to an investment factor (low minus high investment), and α_i represents the average drift unexplained by the five factors. OLS estimation on the excess returns provides the estimated values of $\hat{\alpha}_i, \hat{\beta}_i^{MKT}, \hat{\beta}_i^{SMB}, \hat{\beta}_i^{HML}, \hat{\beta}_i^{RMW}$, and $\hat{\beta}_i^{CMA}$.

8.2.3 Projection of Expected Raw Returns (event window)

For $t \in \mathcal{T}$, we compute expected returns via the specification:

$$E[R_{it}] = R_{ft} + \hat{\alpha}_i + \hat{\beta}_i^{MKT} MKT_t + \hat{\beta}_i^{SMB} SMB_t + \hat{\beta}_i^{HML} HML_t + \hat{\beta}_i^{RMW} RMW_t + \hat{\beta}_i^{CMA} CMA_t$$

Here, the excess market return, SMB, HML, RMW, and CMA on each event–window day are multiplied by the fitted parameters $\hat{\alpha}_i, \hat{\beta}_i^{MKT}, \hat{\beta}_i^{SMB}, \hat{\beta}_i^{HML}, \hat{\beta}_i^{RMW}$, and $\hat{\beta}_i^{CMA}$, respectively. We then add back the risk-free rate R_{ft} so the fitted excess return becomes a raw return comparable to R_{it}.

8.2.4 Abnormal and Cumulative Returns

To compute cumulative abnormal returns (CARs), we simply follow the procedures outlined in Section 5.2.3.3 to obtain:

$$AR_{it} = R_{it} - E[R_{it}], \qquad t \in \mathcal{T}.$$

$$CAR_i(-1, T) = \sum_{t=-1}^{T} AR_{it}, \qquad t, T \in \mathcal{T}.$$

$$CAR_{\text{portfolio}}(-1, T) = \frac{1}{n} \sum_{i=1}^{n} CAR_i(-1, T), \qquad t, T \in \mathcal{T}.$$

8.2.5 Results

We report the Fama–French specifications in Tables (and Figures) A1 through A6. The results closely track those in the main text (see Section 6), yielding substantively similar inferences.

8.3 Seemingly Unrelated Regressions

We assess how firms' cumulative abnormal returns co-move across multiple event dates using a system of Seemingly Unrelated Regressions (SUR) that permits contemporaneous correlation in firm-level shocks across four milestones: (i) (18 Feb 2025) public announcement; (ii) (11 Mar 2025) DSBA Executive Committee backs a revised bill; (iii) (19 Mar 2025) House Judiciary Committee reports the bill out "On Its Merits"; and (iv) (25 Mar 2025) final House passage and gubernatorial signature. Before estimating the SUR system, we present the date-specific coefficients from Specification (5) for the *Delaware* indicator in Table A7, as well as the date-specific coefficients from Specification (6) for *Voting Block*, the two *Control Tiers* (15–33.3% and > 33.3%), and *Dual Class* across the four event dates in Tables A8–A10.

Because the same firms appear in each equation, residuals are plausibly correlated across equations; estimating each date-specific regression separately by OLS would understate uncertainty for joint hypotheses. SUR jointly estimates the system and uses the estimated cross-equation covariance matrix to deliver feasible generalized least squares coefficients and valid Wald tests over linear cross-date restrictions.

For each event date $t \in \{18\text{ Feb}, 11\text{ Mar}, 19\text{ Mar}, 25\text{ Mar}\}$, we estimate

$$\text{CAR}_{ijt}(-1,5) = \alpha_t + Z_{ijt}\beta_t + \text{LOO_IndCAR}_{jt}^{(-i)}\delta_t + X_{ij}\gamma_t + \varepsilon_{ijt},$$

and allow $\left(\varepsilon_{ij,18\text{Feb}}, \varepsilon_{ij,11\text{Mar}}, \varepsilon_{ij,19\text{Mar}}, \varepsilon_{ij,25\text{Mar}}\right)$ to be contemporaneously correlated. The regressor of interest Z_{ijt} is taken one at a time: an indicator for Delaware incorporation, the continuous *Voting Block*, a *Dual Class* indicator, and tiered voting-block dummies (15–33.3% and > 33.3%). The control set includes a leave-one-out industry CAR and baseline firm characteristics. Using the full SUR covariance, we conduct five families of Wald tests per regressor: (i) follow-ups jointly zero ($\beta_{11\text{Mar}} = \beta_{19\text{Mar}} = \beta_{25\text{Mar}} = 0$); (ii) 18 Feb vs. 11 Mar; (iii) 11 Mar vs. 19 Mar; (iv) 19 Mar vs. 25 Mar; and (v) initial vs. average follow-ups, $\beta_{18\text{Feb}} - \frac{1}{3}(\beta_{11\text{Mar}} + \beta_{19\text{Mar}} + \beta_{25\text{Mar}}) = 0$. Table A11 reports point estimates for the relevant differences and significance levels. Industry fixed effects are included at the SIC-3-digit level; firm controls match Table 2; and standard errors are clustered by SIC-3.

In the *all-firms* specification with the Delaware indicator as Z_{ijt}, the follow-up coefficients are not jointly different from zero. The 18 Feb coefficient is more negative than 11 Mar at the 1% level, whereas 11 Mar vs. 19 Mar and 19 Mar vs. 25 Mar are not statistically different from zero. The initial vs. average follow-ups contrast is negative and significant at the 1% level, indicating that the Delaware effect is largely priced on the first trading day after the public announcement

(18 Feb 2025), with no statistically detectable incremental pricing across the March follow-ups in the broad U.S. sample.

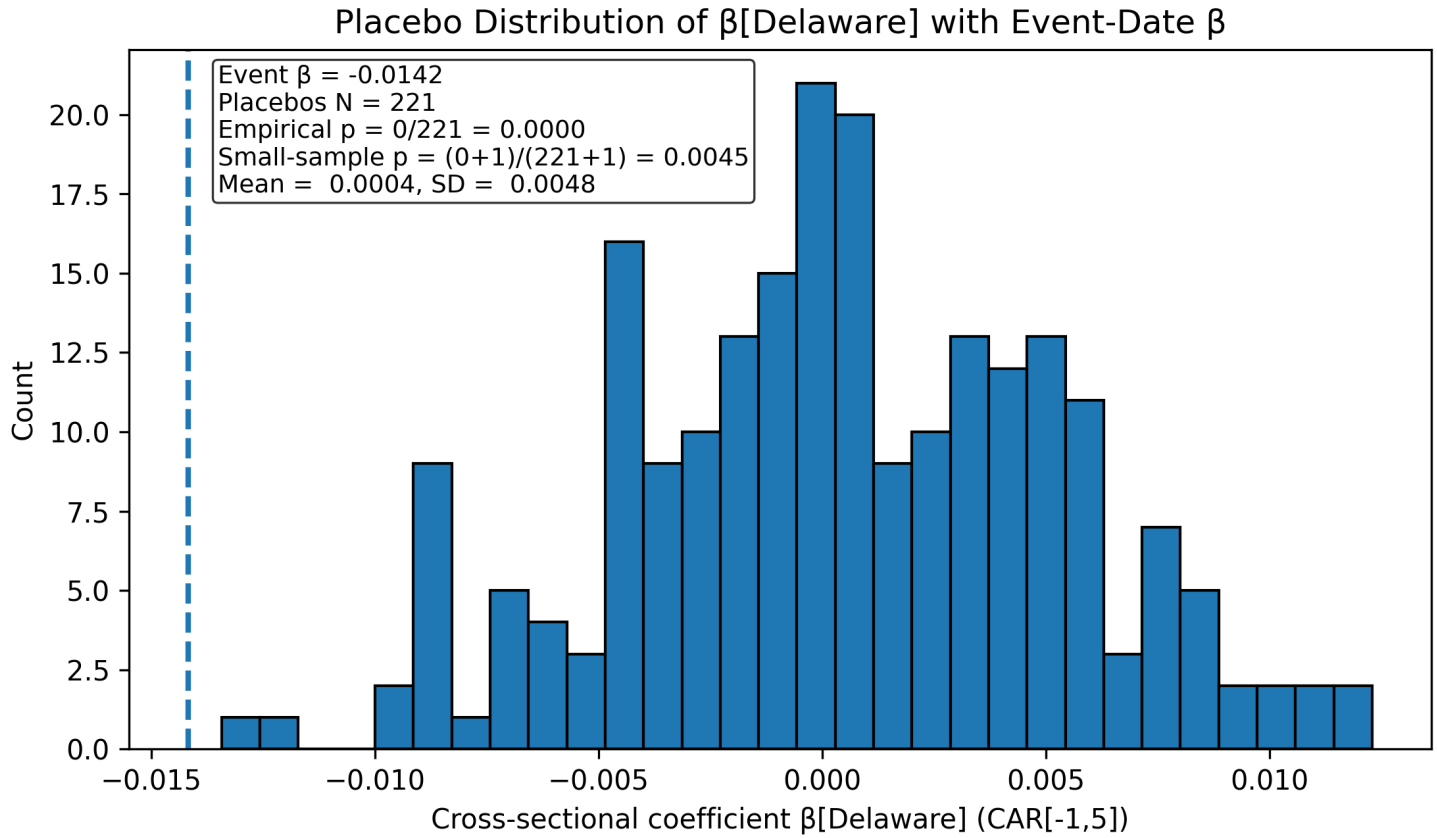
Restricting to the Delaware-incorporated subsample and rotating the regressor of interest reveals richer within-Delaware dynamics. With the continuous *Voting Block*, the follow-up coefficients are not jointly different from zero and pairwise contrasts across follow-ups are not statistically significant, but the initial vs. average follow-ups difference is negative and significant at the 5% level, again pointing to a more adverse initial response. With the *Dual Class* indicator, the follow-ups are jointly different from zero at the 1% level; the coefficient becomes more negative from 11 Mar to 19 Mar (1%), then partially reverses from 19 Mar to 25 Mar (1%); and the initial vs. average follow-ups difference is negative and significant at the 5% level (the 18 Feb vs. 11 Mar contrast itself is not significant). For the tiered voting-block dummies, the 15–33.3% group has follow-ups jointly different from zero at the 10% level; 11 Mar vs. 19 Mar is negative and significant at the 1%, while 18 Feb vs. 11 Mar and 19 Mar vs. 25 Mar are not significant; the initial vs. average follow-ups contrast is negative and significant at the 5%. For the $> 33.3\%$ group, the follow-ups are jointly different from zero at the 1% level; 11 Mar vs. 19 Mar is negative and significant at the 1%, while 18 Feb vs. 11 Mar and 19 Mar vs. 25 Mar are not significant; the initial vs. average follow-ups contrast is negative and significant at the 10%.

Taken together, the SUR evidence in Table A11 distinguishes the broad all-firms sample from the Delaware-only subsample. In the all-firms sample, the Delaware effect is concentrated on 18 Feb 2025. By contrast, within Delaware, we observe additional re-pricing around the March milestones—11 Mar 2025 (DSBA support for a revised bill), 19 Mar 2025 (House committee action), and 25 Mar 2025 (final passage and signature)—most notably a further decline from 11 Mar to 19 Mar for dual-class firms and higher voting-power tiers, with a partial reversal by 25 Mar. This pattern is consistent with heterogeneous expectations and information arriving after the initial announcement, especially once the DSBA's March 11 action signaled high enactment probability and reduced the scope for compromise.

9 Additional Tables and Figures

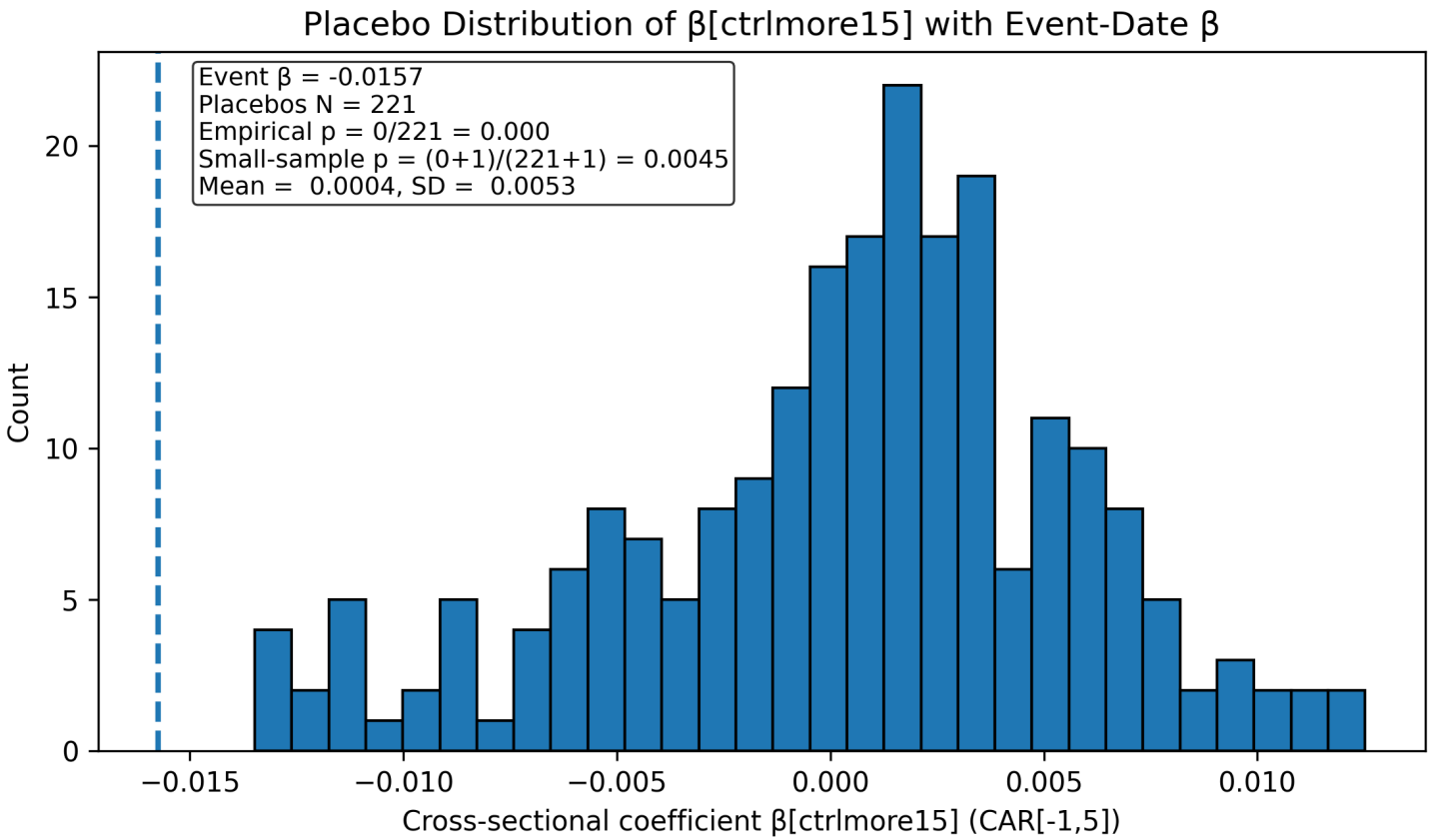
In this section, we provide additional tables and figures that supplement the main analysis presented in the paper.

Figure A1: Distribution of Placebo Estimates of Delaware Coefficient (SB21) (All Firms)



The Figure plots the distribution of estimated coefficients on the Delaware dummy variable obtained from placebo event–study regressions using pre-event dates between 250 and 20 trading days before the SB 21 event. Each regression estimates the association between being incorporated in Delaware and firms' cumulative abnormal returns. Firm controls include the financial variables reported in Table 2. The dashed blue line indicates the actual event-date coefficient estimated at the true event date. The empirical p-value corresponds to the fraction of placebo coefficients with absolute values greater than or equal to the actual event-date coefficient.

Figure A2: Distribution of Placebo Estimates of $\text{Ctrlmore}_{ij}^{\geq 15}$ Coefficient (SB21) (Delaware Only)



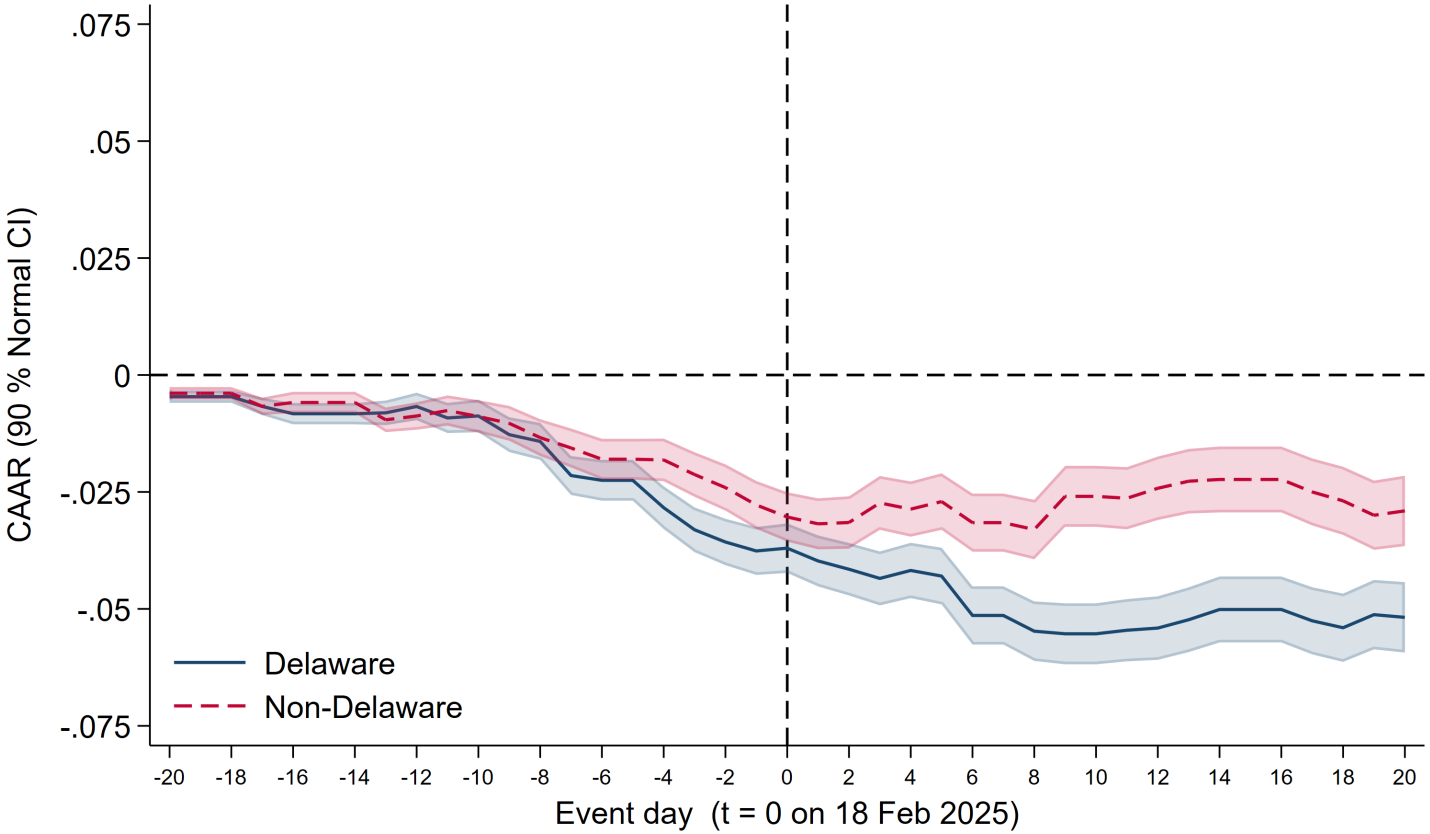
The Figure plots the distribution of estimated coefficients on a dummy variable indicating whether the company's voting block is more than 15%, obtained from placebo event–study regressions using pre-event dates between 250 and 20 trading days before the SB 21 event. Each regression estimates the association between whether the company's voting block is more than 15% and firms' cumulative abnormal returns. Firm controls include the financial variables reported in Table 2. The dashed blue line indicates the actual event-date coefficient estimated at the true event date. The empirical p-value corresponds to the fraction of placebo coefficients with absolute values greater than or equal to the actual event-date coefficient.

Table A1: Fama-French Cumulative Abnormal Return Regressions on Delaware Variable (SB21)
(All Firms)

	(1) CAR[-1,1]	(2) CAR[-1,3]	(3) CAR[-1,5]	(4) CAR[-1,7]	(5) CAR[-1,10]
Delaware	0.001	-0.008**	-0.012***	-0.014***	-0.024***
	(0.752)	(0.038)	(0.001)	(0.002)	(0.000)
Constant	-0.017	-0.025**	-0.030**	-0.055***	-0.064***
	(0.130)	(0.015)	(0.040)	(0.002)	(0.004)
Observations	1522	1522	1522	1522	1522
Industry FE	Yes	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes	Yes
R-Sq	0.196	0.241	0.255	0.223	0.255
F Statistic	1.283	2.703	5.025	4.520	7.108

The Table reports the results of an OLS regression of cumulative abnormal returns estimated from the Fama–French five-factor model on a dummy variable indicating whether the company is incorporated in Delaware. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Figure A3: Fama-French Cumulative Abnormal Return Regressions on Delaware Variable (SB21) (All Firms)



The Figure represents the Fama-French cumulative abnormal returns of Delaware and non-Delaware companies from twenty trading days before and twenty trading days after the event. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window.

Table A2: Fama-French Cumulative Abnormal Return Regressions on Voting Blocks (SB21) (Delaware Only)

	CAR[-1,1]			CAR[-1,3]			CAR[-1,5]			CAR[-1,7]			CAR[-1,10]		
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)	(14)	(15)
Voting Block	-0.003			-0.010			-0.019**			-0.022**			-0.019		
	(0.717)			(0.218)			(0.049)			(0.048)			(0.144)		
>15%		-0.002			-0.009**			-0.013***			-0.015***			-0.013*	
		(0.526)			(0.027)			(0.004)			(0.010)			(0.079)	
15–33%			-0.004			-0.011***			-0.015***			-0.015**			-0.013*
			(0.187)			(0.007)			(0.002)			(0.012)			(0.078)
>33.3%			0.001			-0.007			-0.011			-0.014*			-0.012
			(0.870)			(0.283)			(0.118)			(0.075)			(0.222)
Constant	-0.014	-0.013	-0.012	-0.012	-0.005	-0.005	-0.002	0.005	0.006	-0.030	-0.022	-0.022	-0.044**	-0.037*	-0.037
	(0.170)	(0.182)	(0.220)	(0.374)	(0.695)	(0.745)	(0.894)	(0.733)	(0.692)	(0.125)	(0.292)	(0.302)	(0.035)	(0.090)	(0.101)
Observations	859	860	860	859	860	860	859	860	860	859	860	860	859	860	860
Industry Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
R-Sq	0.063	0.063	0.064	0.102	0.104	0.105	0.102	0.106	0.106	0.074	0.078	0.078	0.097	0.099	0.099
F Statistic	9.928	10.664	9.104	49.395	53.531	46.154	12.671	14.446	14.549	8.232	9.962	10.553	18.080	17.727	16.728

The Table reports the results of an OLS regression of cumulative abnormal returns estimated from the Fama–French five-factor model on a continuous variable measuring the percentage of votes that may be exercisable by the shareholder(s) with the greatest voting power ("Voting Block") and dummy variables indicating whether the company's voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

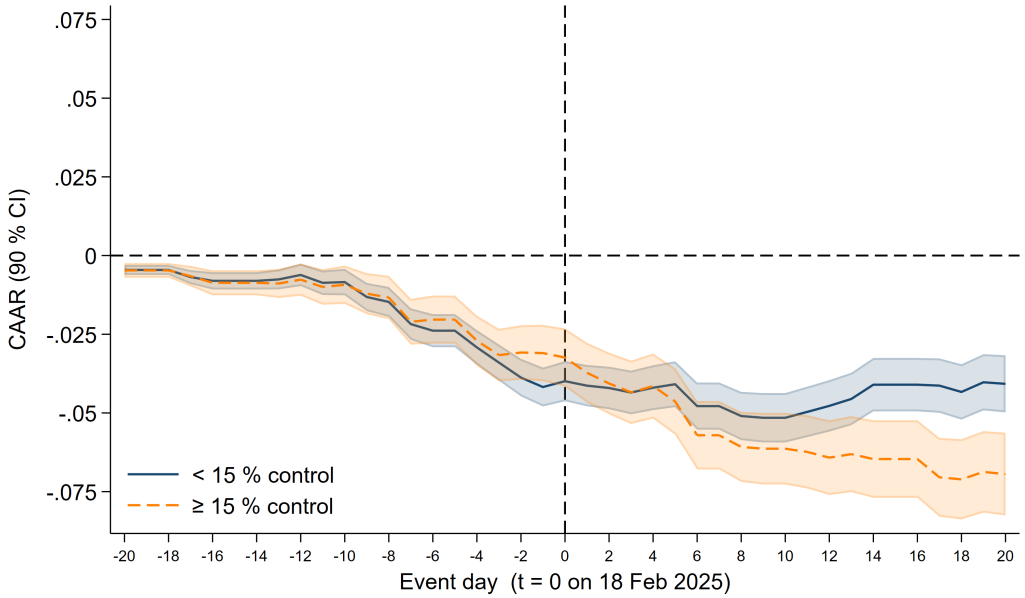
Table A3: Fama-French Cumulative Abnormal Return Regressions on Dual-Class (SB21) (Delaware Only)

	CAR[-1,1]		CAR[-1,3]		CAR[-1,5]		CAR[-1,7]		CAR[-1,10]	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
Dual Class	-0.001	-0.009	-0.013*	-0.022**	-0.018*	-0.024**	-0.018	-0.020	-0.019*	-0.018
	(0.899)	(0.338)	(0.087)	(0.030)	(0.056)	(0.039)	(0.101)	(0.133)	(0.087)	(0.131)
Voting block (Centered)		-0.015*		-0.010		-0.015		-0.015		-0.007
		(0.051)		(0.207)		(0.106)		(0.105)		(0.572)
Dual Class × Voting Block (Centered)		0.046*		0.039*		0.034		0.019		0.003
		(0.060)		(0.062)		(0.236)		(0.537)		(0.914)
Constant	-0.015	-0.013	-0.014	-0.012	-0.007	-0.004	-0.036*	-0.034*	-0.049**	-0.048**
	(0.115)	(0.143)	(0.300)	(0.340)	(0.628)	(0.755)	(0.064)	(0.088)	(0.025)	(0.028)
Observations	859	858	859	858	859	858	859	858	859	858
Industry Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
R-Sq	0.063	0.069	0.105	0.108	0.107	0.108	0.077	0.078	0.100	0.100
F Statistic	8.731	9.336	48.832	49.269	14.371	13.672	8.972	8.186	20.137	18.262

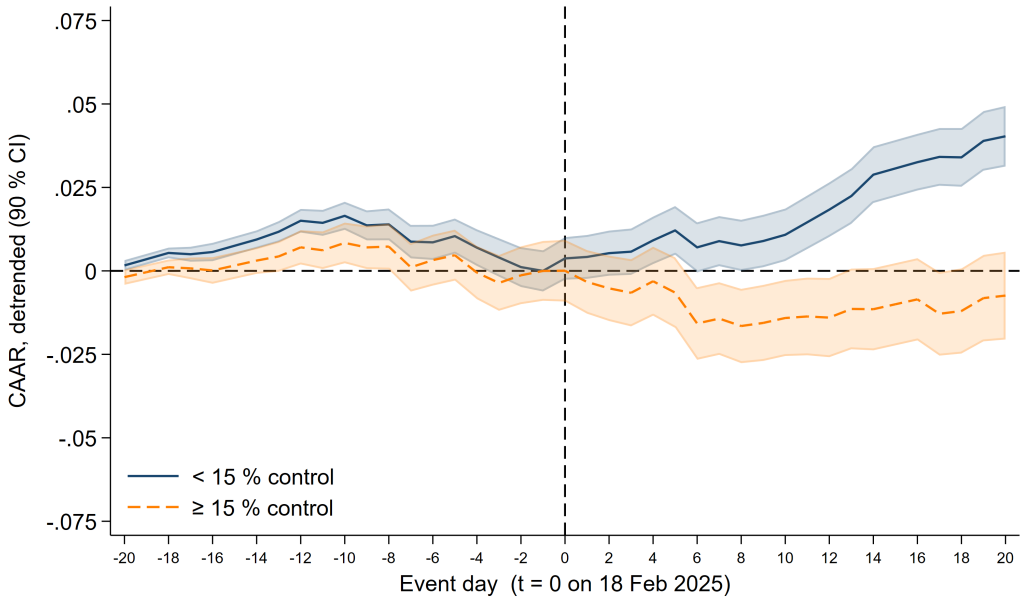
The Table reports the results of an OLS regression of cumulative abnormal returns estimated from the Fama–French five-factor model on a dummy variable indicating whether the company has a dual-class voting structure. In the second column for each window, we control for a continuous variable measuring the percentage of votes that may be exercisable by the shareholder(s) with the greatest voting power ("Voting Block") and we interact the two variables. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Figure A4: Fama-French Cumulative Abnormal Returns Associated with SB 21 ($\text{Ctrlmore}_{ij}^{\geq 15}$) (Delaware Only)

(a) Panel A



(b) Panel B



Panels A and B of this Figure represent the Fama-French cumulative abnormal returns of Delaware companies with a voting block less than 15% and other Delaware companies from twenty trading days before and twenty trading days after the event. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window. Panel A represents the baseline cumulative abnormal returns without adjustment. Panel B CARs are linearly de-trended by estimating $\hat{\alpha} + \hat{\beta}t$ on the pre-event window (t=-20) to (t=-1) for each subset of firms and subtracting the fitted values from the entire series. The resulting residuals are then re-anchored so that day −1 equals zero, making all reported CARs deviations from that last pre-event day.

Table A4: Fama-French Cumulative Abnormal Return Regressions on Delaware Variable (Match) (All Firms)

	(1) CAR[-1,1]	(2) CAR[-1,3]	(3) CAR[-1,5]	(4) CAR[-1,7]	(5) CAR[-1,10]
Delaware	0.001	0.000	-0.001	-0.005	-0.003
	(0.758)	(0.970)	(0.860)	(0.388)	(0.565)
Constant	-0.005	0.000	0.000	0.001	0.007
	(0.468)	(0.964)	(0.980)	(0.917)	(0.619)
Observations	1512	1512	1512	1512	1512
Industry FE	Yes	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes	Yes
R-Sq	0.238	0.213	0.211	0.206	0.271
F Statistic	3.549	1.986	2.760	1.443	2.354

The Table reports the results of an OLS regression of cumulative abnormal returns estimated from the Fama–French five-factor model on a dummy variable indicating whether the company is incorporated in Delaware, around the date of the Delaware Supreme Court's *Match* decision. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table A5: Fama-French Cumulative Abnormal Return Regressions on Voting Blocks (Match) (Delaware Only)

	CAR[-1,1]			CAR[-1,3]			CAR[-1,5]			CAR[-1,7]			CAR[-1,10]		
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)	(14)	(15)
Voting Block	0.005			0.001			0.001			-0.003			-0.005		
	(0.189)			(0.834)			(0.894)			(0.675)			(0.593)		
>15%		0.000			-0.001			0.002			0.002			-0.000	
		(0.801)			(0.817)			(0.635)			(0.520)			(0.997)	
15–33%			0.000			-0.000			0.004			0.006*			0.000
			(0.828)			(0.839)			(0.260)			(0.077)			(0.925)
>33.3%			0.000			-0.001			-0.001			-0.002			-0.000
			(0.879)			(0.866)			(0.848)			(0.714)			(0.929)
Constant	-0.005	-0.003	-0.003	0.006	0.007	0.007	0.009	0.007	0.006	0.009	0.005	0.003	-0.001	-0.003	-0.003
	(0.461)	(0.613)	(0.605)	(0.531)	(0.454)	(0.451)	(0.281)	(0.424)	(0.494)	(0.467)	(0.697)	(0.794)	(0.956)	(0.841)	(0.834)
Observations	846	847	847	846	847	847	846	847	847	846	847	847	846	847	847
Industry Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
R-Sq	0.153	0.153	0.153	0.108	0.109	0.109	0.082	0.082	0.083	0.095	0.095	0.097	0.138	0.137	0.137
F Statistic	33.727	30.594	27.271	41.371	44.747	39.871	33.100	34.426	29.096	15.162	14.650	13.450	20.705	20.391	18.214

The Table reports the results of an OLS regression of cumulative abnormal returns estimated from the Fama–French five-factor model on a continuous variable measuring the percentage of votes that may be exercisable by the shareholder(s) with the greatest voting power ("Voting Block") and dummy variables indicating whether the company's voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%, around the date of the Delaware Supreme Court's *Match* decision. Firm controls include the firm-level financial variables reported in Table 2. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table A6: Fama-French Cumulative Abnormal Return Regressions on Dual-Class (Match) (Delaware Only)

	CAR[-1,1]		CAR[-1,3]		CAR[-1,5]		CAR[-1,7]		CAR[-1,10]	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
Dual Class	0.002	-0.000	0.004	0.001	0.005	0.005	0.003	0.002	0.008	0.008
	(0.401)	(0.969)	(0.191)	(0.758)	(0.120)	(0.240)	(0.529)	(0.763)	(0.207)	(0.239)
Voting block (Centered)		0.002		-0.008		-0.006		-0.011		-0.019**
		(0.685)		(0.259)		(0.399)		(0.149)		(0.013)
Dual Class × Voting Block (Centered)		0.006		0.020		0.007		0.017		0.020
		(0.613)		(0.173)		(0.660)		(0.299)		(0.334)
Constant	-0.003	-0.004	0.006	0.006	0.008	0.009	0.007	0.008	-0.005	-0.002
	(0.603)	(0.564)	(0.528)	(0.498)	(0.318)	(0.279)	(0.539)	(0.486)	(0.762)	(0.898)
Observations	846	845	846	845	846	845	846	845	846	845
Industry Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
R-Sq	0.153	0.153	0.110	0.112	0.083	0.084	0.095	0.096	0.139	0.142
F Statistic	31.490	26.240	47.958	47.391	37.423	36.306	14.457	11.743	20.441	17.416

The Table reports the results of an OLS regression of cumulative abnormal returns estimated from the Fama–French five-factor model on a dummy variable indicating whether the company has a dual-class voting structure, around the date of the Delaware Supreme Court's *Match* decision. In the second column of each window, we control for a continuous variable measuring the percentage of votes that may be exercises by the shareholder(s) with the greatest voting power ("Voting Block") and we interact the two variables. Firm controls include the financial variables reported in Table 2. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table A7: Cumulative Abnormal Return Regressions on Delaware Variable (Post-SB21 Events) (All Firms)

	(1)	(2)	(3)	(4)
	18 Feb	March 11	March 19	March 25
Delaware	-0.014***	0.004	0.002	-0.003
	(0.000)	(0.503)	(0.441)	(0.345)
Constant	-0.049***	0.028*	-0.011	-0.024*
	(0.002)	(0.072)	(0.115)	(0.073)
Observations	1522	1519	1518	1517
Industry FE	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes
R-Sq	0.267	0.225	0.232	0.276
F Statistic	8.246	14.800	0.975	1.963

The Table reports the results of OLS regressions of cumulative abnormal returns over the [-1, 5] event window on a dummy variable indicating whether the company is incorporated in Delaware, estimated across multiple potential event dates surrounding the SB 21 date. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table A8: Cumulative Abnormal Return Regressions on Continuous Voting Block (Post-SB21 Events) (Delaware Only)

	(1)	(2)	(3)	(4)
	18 Feb	March 11	March 19	March 25
Voting Block	-0.027***	-0.015	0.009	0.004
	(0.008)	(0.196)	(0.325)	(0.687)
Constant	-0.020	0.027*	-0.013	-0.028*
	(0.231)	(0.095)	(0.139)	(0.061)
Observations	859	856	855	854
Industry Controls	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes
R-Sq	0.121	0.146	0.155	0.186
F Statistic	10.923	27.479	13.537	28.414

The Table reports the results of OLS regressions of cumulative abnormal returns over the [-1, 5] event window on a continuous variable measuring the percentage of votes that may be exercisable by the shareholder(s) with the greatest voting power ("Voting Block"), estimated across multiple potential event dates surrounding the SB 21 date. The sample includes Delaware-incorporated firms only. Firm controls include the firm-level financial variables reported in Table 2. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table A9: Cumulative Abnormal Return Regressions on $\text{Ctrlmore}_{ij}^{>33\%}$ and $\text{Ctrlmore}_{ij}^{15-33\%}$ (Post-SB 21 Events) (Delaware Only)

	(1)	(2)	(3)	(4)
	18 Feb	March 11	March 19	March 25
15–33%	-0.015***	-0.013***	0.008**	0.008
	(0.002)	(0.008)	(0.012)	(0.408)
>33.3%	-0.016**	-0.011	0.012***	0.008
	(0.031)	(0.105)	(0.009)	(0.187)
Constant	-0.013	0.036**	-0.020**	-0.037*
	(0.466)	(0.030)	(0.020)	(0.084)
Observations	860	857	856	855
Industry Controls	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes
R-Sq	0.124	0.151	0.164	0.189
F Statistic	12.197	27.417	13.237	27.449

The Table reports the results of OLS regressions of cumulative abnormal returns over the [-1, 5] event window on dummy variables indicating whether the company's voting block is between 15% and 33.3%, or greater than 33.3%, estimated across multiple potential event dates surrounding the SB 21 date. The sample includes Delaware-incorporated firms only. Firm controls include the firm-level financial variables reported in Table 2. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table A10: Cumulative Abnormal Return Regressions on Dual-Class (Post-SB21 Events) (Delaware Only)

	(1)	(2)	(3)	(4)
	18 Feb	March 11	March 19	March 25
Dual Class	-0.024**	-0.012**	0.016***	-0.007
	(0.019)	(0.012)	(0.000)	(0.368)
Constant	-0.027	0.024	-0.012	-0.026*
	(0.104)	(0.126)	(0.157)	(0.069)
Observations	859	856	855	854
Industry Controls	Yes	Yes	Yes	Yes
Firm Controls	Yes	Yes	Yes	Yes
R-Sq	0.127	0.148	0.168	0.187
F Statistic	11.948	29.867	21.939	28.912

The Table reports the results of OLS regressions of cumulative abnormal returns over the [-1, 5] event window on a dummy variable indicating whether the company has a dual-class voting structure, estimated across multiple potential event dates surrounding the SB 21 date. The sample includes Delaware-incorporated firms only. Firm controls include the firm-level financial variables reported in Table 2. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table A11: Seemingly Unrelated Regressions

	All Firms	Delaware Firms			
	Delaware	Voting Block	Dual Class	15–33%	>33.3%
Follow-ups jointly zero	(0.612)	(0.420)	(0.000)***	(0.056)*	(0.006)***
18 Feb vs 11 Mar	-0.018	-0.012	-0.013	-0.001	-0.006
	(0.007)***	(0.438)	(0.285)	(0.897)	(0.539)
11 Mar vs 19 Mar	0.002	-0.024	-0.029	-0.015	-0.018
	(0.758)	(0.161)	(0.000)***	(0.005)***	(0.002)***
19 Mar vs 25 Mar	0.005	0.005	0.023	-0.002	0.005
	(0.195)	(0.607)	(0.006)***	(0.869)	(0.421)
Initial vs avg. follow-ups	-0.015	-0.026	-0.023	-0.011	-0.016
	(0.000)***	(0.035)**	(0.025)**	(0.037)**	(0.067)*

The Table reports results from a system of Seemingly Unrelated Regressions, each estimated separately for five regressors of interest. Each system jointly estimates the effect of the regressor on firms' cumulative abnormal returns over the [−1, 5] window across four event dates. "Follow-ups jointly zero" tests whether the post–February 18 coefficients are jointly equal to zero. "Initial vs average follow-ups" tests whether the initial coefficient on February 18 equals the mean of the three subsequent coefficients. Other rows report pairwise differences in coefficients between event dates, with point estimates shown above and p-values reported in parentheses below. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.